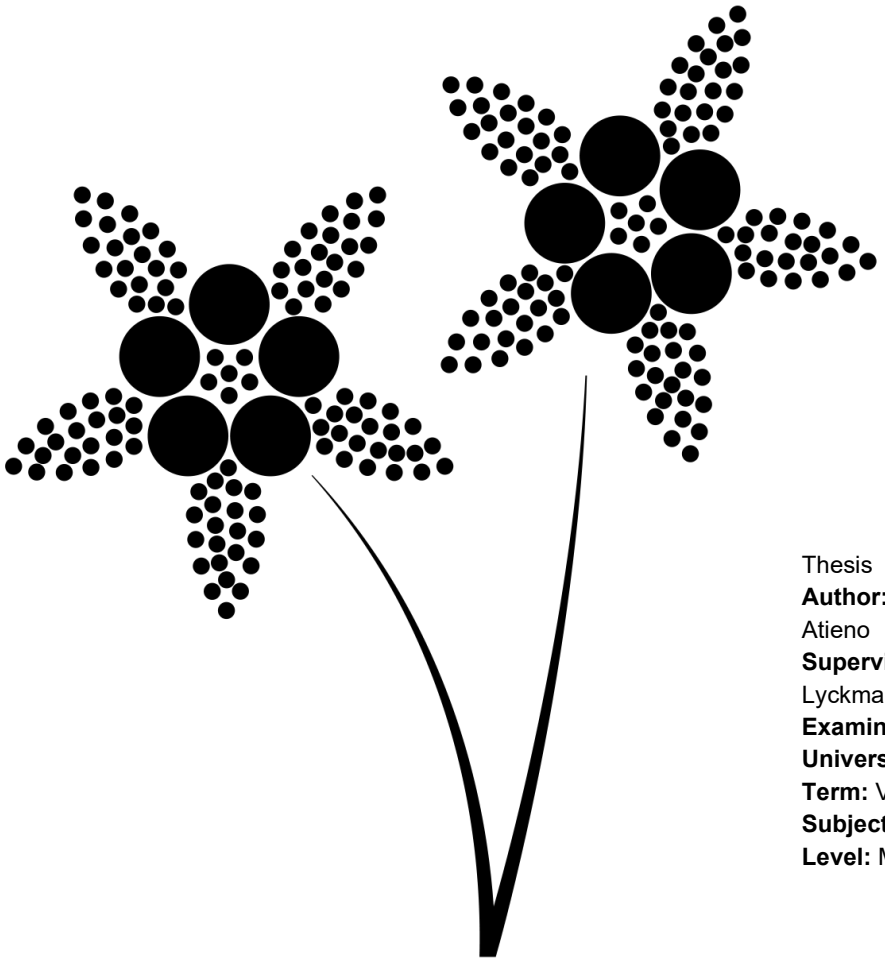
Linnæus University

AI-First Internationalization

An Exploratory Study of Human and AI Agent Collaboration in Startups



Thesis

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Abstract

This study investigates how human founders in AI-first startups utilize autonomous AI agents to inform and execute their international expansion strategies. Established internationalization frameworks such as the Uppsala model and International New Venture (INV) theory predict that foreign market entry requires the slow accumulation of experiential knowledge and relational trust. Yet AI-first startups routinely enter multiple foreign markets simultaneously with micro-teams of four to five people and no prior local presence. Explaining this paradox is the study's central motivation.

An abductive, exploratory, multiple-case study design was adopted. Empirical data was gathered across two phases: qualitative document analysis of five AI-native scale-ups as an enterprise baseline, and six semi-structured interviews with founders and senior decision-makers from five early-stage startups and one expert interview with a larger enterprise.

Three principal findings emerge. First, AI agents function as a synthetic dynamic capability, enabling resource-constrained startups to compress the informational and institutional phases of market entry without equivalent human expertise or prior market exposure, a mechanism termed Synthetic Experiential Learning. Second, founders govern AI outputs across five distinct postures, ranging from layered institutional verification to speed maximalism, driven by sector risk profiles and deal-level stakes rather than a universal rational model. Third, the liability of outsidership decouples into two components: informational outsidership, which AI resolves effectively, and relational outsidership, which remains irreducibly human. This Pre-Relational / Relational Boundary is sector-modulated, holding most firmly in life sciences and deep-tech.

These findings are integrated in the AI-Augmented Internationalization Paradigm, a conceptual framework specifying how AI-first startups navigate foreign market entry through three interacting layers: intelligence, governance, and relational. The study contributes to INV theory and the Uppsala model by identifying a new source

of dynamic capability, refining the augmentation imperative as conditional rather than universal, and operationalizing the structural boundary where AI-mediated internationalization gives way to irreplaceable human relational work.

Keywords

AI-first startups; internationalization; Uppsala model; International New Ventures; agentic AI; Synthetic Experiential Learning; liability of outsidership; human-AI collaboration; Industry 5.0

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Completing a master's thesis is a challenging experience. It started as an uncertain work plan, but eventually it unfolded into a rewarding journey for us.

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To ensure academic integrity, we must mention that the following AI tools have been used at certain points in this research process:

ChatGPT (OpenAI) & Gemini: Leveraged for initial literature review summaries, language editing and paraphrasing. The authors have reviewed, verified against original sources which were picked by the authors themselves and they have substantially rewritten all content.

Claude (Anthropic): For structural feedback and organization of the text in the drafting phase.

Strawberry Browser: A smart browser that helped collect contact information for interview participants and streamlined the outreach.

Sonix & Descript: For the transcription of the primary interviews.

The analytical conclusions, theory building, and interpretation offered in the current thesis are the intellectual product of the authors alone. Academic arguments, interpretation of empirical data, and conclusions were not generated by an AI tool, nor were they a product of original academic research. AI was used only for a clear, complementary purpose and aligned with the ethos of academic honesty.

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Mourine Janet Atieno

List of Abbreviations

The following abbreviations are used throughout this thesis:

AI	Artificial Intelligence
AML	Anti-Money Laundering
B2B	Business-to-Business
CEO	Chief Executive Officer
CTO	Chief Technology Officer
GDPR	General Data Protection Regulation
HITL	Human-in-the-Loop
HR	Human Resources
IB	International Business
INV	International New Venture
LLM	Large Language Model
MNE	Multinational Enterprise
RegTech	Regulatory Technology
SaaS	Software as a Service
SME	Small and Medium-sized Enterprise
UPM	Uppsala Internationalization Process Model
VUCA	Volatility, Uncertainty, Complexity, and Ambiguity
WEF	World Economic Forum

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1 Introduction

This chapter starts with a background regarding this research. Afterward, it is followed by a problem discussion that explains and leads to the purpose of the study and the research questions. Lastly, this chapter includes the delimitations of this research.

1.1 Background

International business research has historically emphasized human decision-makers as the main actors in the internationalization of firms. Particularly, in the context of startups and international new ventures (INVs), founders and top managers are usually considered the primary drivers of foreign expansion (Bhatti et al., 2022). Their prior international experience, cognitive orientation, networks, and strategic judgment have traditionally been understood as the micro-foundations enabling early and accelerated internationalization (Coviello et al., 2017; Oviatt and McDougall, 1994; Johanson and Vahlne, 2009; Weerawardena et al., 2007). Contrary to large multinational enterprises, startups typically operate under resource constraints, limited organizational routines, and high uncertainty. Consequently, entrepreneurial decision-making, opportunity recognition, and human relational capabilities are regarded as decisive elements shaping how, when, and where these firms expand internationally.

The international new venture (INV) and born-global literature challenged earlier incremental models of internationalization by demonstrating that firms can internationalize rapidly from inception when human founders possess international vision and leverage network relationships effectively (Oviatt and McDougall, 1994; Knight and Cavusgil, 2004). The Uppsala internationalization model further emphasizes the importance of experiential learning, network relationships, and commitment decisions as interdependent processes that unfold over time, ultimately dictating a firm's network entry speed and synchronization (Johanson and Vahlne, 2009; Vahlne and Johanson, 2017; Johanson and Johanson, 2021). Across these

foundational frameworks, internationalization is conceptualized as a process driven by knowledge development and relationship-building activities, inherently relying on human manual effort and prolonged market exposure. Furthermore, the network approach to internationalization suggests that markets are essentially networks of relationships. A firm's success in a new foreign market depends on its ability to overcome the 'liability of outsidership' by manually building trust, establishing legitimacy, and committing resources to local network insiders (Johanson and Vahlne, 2009). Traditionally, securing this network embeddedness has been viewed as a strictly human, time-intensive endeavor that dictates the pace of expansion. However, the technological landscape in which startups operate today has transformed. Early digitalization primarily used technology as an enabling infrastructure for data storage and basic automation, reducing transaction costs and facilitating rapid knowledge transfer (Sinkovics et al., 2013).

Today, the business environment is transitioning toward Industry 5.0, an emerging paradigm that emphasizes collaboration between human workers and advanced technological systems, while envisioning a more sustainable and resilient industry (Borchardt et al., 2022). At the front of this shift is the fast integration of artificial intelligence (AI). In the context of international business, human managers are increasingly deploying AI tools for market forecasting, customer analytics, supply chain optimization, and cross-cultural communication (Menzies et al., 2024). As recent research highlights, a firm's "AI orientation", its strategic commitment to applying AI technologies, can significantly accelerate the international knowledge acquisition process by transcending geographical boundaries and reducing the perceived distance to overseas markets (Liu et al., 2024).

Particularly relevant to this study is the emergence of AI agents. For the purpose of this research, AI agents are defined as sophisticated algorithmic tools and adaptive software systems capable of processing natural language, analyzing vast datasets, and executing complex, multi-step workflows based strictly on human-defined parameters (Gadde, 2025). Unlike traditional automation, these tools provide highly synthesized analytical outputs but do not possess independent agency. The

integration of these tools has transitioned from a simple competitive advantage to a foundational requirement for the development and accelerated growth of modern startups (Bakouche et al., 2025). Furthermore, the evolution of "Agentic AI", distinguished by its autonomy, reactivity, and learning ability, enables resource-constrained organizations to outsource complex analytical work seamlessly (Hosseini and Seilani, 2025).

Their emergence has facilitated a new organizational archetype: the "AI-first" (or "AI-native") startup (World Economic Forum, 2025; Brandenberg, 2025). The contemporary business landscape draws a sharp distinction between companies that are simply "AI-enabled", using algorithms to incrementally improve existing manual processes, and those that are "AI-first." The latter are defined as organizations that design their core operational and strategic workflows around artificial intelligence from inception (World Economic Forum, 2026). These startups are built around human-agent collaboration, enabling them to achieve operational scale without proportional headcount (World Economic Forum, 2026; Cai et al., 2025). As highlighted by McKinsey & Company (2025a), these "agentic organizations" decouple geographic growth from traditional human labor costs, achieving unprecedented operational leverage and speed to market.

Specifically in the context of cross-border expansion, startups leverage generative AI to execute aggressive go-to-market strategies and "growth hacking," bypassing traditional sales-led entry barriers by automating localized content creation (Rezazadeh et al., 2025). To mitigate the informational uncertainty of foreign markets, founders increasingly deploy agent-based frameworks capable of automated market surveying and competitor identification, which effectively replaces the slow, manual accumulation of local market intelligence (Krishna et al., 2025).

Contemporary enterprise examples that illustrate this phenomenon, demonstrate how this architecture fundamentally alters cross-border expansion. For instance, global HR platforms like Deel and B2B neobanks like Qonto use autonomous compliance agents (such as Deel IQ and Qonto's Germi) to instantly navigate

complex foreign labor laws and multi-jurisdictional AML regulations, effectively dissolving traditional institutional uncertainty. Similarly, fintechs like Brex deploy multi-agent frameworks to automate international customer onboarding, decoupling geographic expansion from the traditional need to hire massive local compliance teams. Beyond regulatory obstacles, startups like the digital health provider Alan leverage dedicated translation agents to seamlessly bridge cultural and linguistic distances at scale. This paradigm even extends to physical operations, as seen with Einride, which uses an AI operating system (Saga) to orchestrate autonomous cross-border freight, actively bypassing the traditional reliance on deeply embedded local human networks. By deploying these networks of AI agents to handle such complex workflows, founders of AI-first startups achieve unprecedented operational leverage, allowing them to support rapid global scaling without proportional increases in human labor (Zhang, 2026; World Economic Forum, 2026).

1.2 Problem Discussion

In the previous section it is established that there is a conceptual tension between traditional international business theories and the fast adoption of AI tools by startup founders. Frameworks such as the Uppsala model and INV theory, assume that the acquisition of experiential knowledge, market sensing, and relationship-building relies entirely on human experiential learning (Johanson and Vahlne, 2009). However, the traditional manner of knowledge accumulation is changing as human decision-makers in AI-first startups increasingly use AI agents to quickly process institutional and market data. Autonomous AI agents enhance a startup's dynamic capabilities by automating the "sensing" of foreign market data, challenging the Uppsala model's assumption that acquiring foreign market knowledge requires prolonged, physical human exposure (Hokmabadi et al., 2025). By expanding new knowledge and accelerating outdated practices, an AI-first strategy changes the rhythm and pace of internationalization, prioritizing algorithmic execution over gradual learning (Ruokonen and Ritala, 2024).

In terms of market entry speed, this shift creates a theoretical paradox. The Uppsala model shows that successful internationalization requires the slow accumulation of tacit, experiential knowledge (Johanson and Vahlne, 2009). When a firm attempts to increase its network entry speed too fast, the theory warns of "time compression diseconomies". That is the organizational fracturing that happens when a firm cannot absorb new market knowledge as fast as it expands (Johanson and Johanson, 2021). However, AI-first startups appear to bypass this limitation by substituting human experiential learning with algorithmic data processing. Recently, Vahlne and Johanson (2020) acknowledged that the Uppsala framework must evolve beyond a deterministic model as acquiring new market knowledge does not necessarily lead to incremental commitment, but can rapidly trigger massive acceleration or sudden de-commitment. Founders are developing internationalization paths and processing massive datasets at scale only by leveraging agentic workflows, which humans alone cannot do. They are effectively using AI as an executive co-pilot to increase the speed of market intelligence and competitive analysis (Chinnaraju, 2025), working as a kind of cognitive substrate for early strategic decision-making. This brings a theoretical tension over whether AI truly resolves time-compression diseconomies by acting as an artificial form of experience, or whether it masks a lack of genuine market comprehension.

Due to the fact that AI accelerates the timeline of market entry, it also changes the nature of risk management. Startups have traditionally faced high institutional uncertainty in foreign markets. AI changes this picture in two directions. On one hand, an AI orientation is associated with faster internationalization, as AI tools accelerate market entry (Liu et al., 2024). On the other hand, new ventures that adopt AI to expand internationally still confront regulatory obstacles and resource constraints (Moharrak et al., 2024). For resource-constrained teams, using AI to navigate these regulatory demands can itself become a significant burden. While agentic workflows can compress execution time, this speed shifts effort toward human oversight. Things such as correctness, completeness, and final judgment remain the founder's responsibility. By delegating research and execution to AI, founders effectively trade traditional market uncertainty for technological

uncertainty. Relying on an algorithm to navigate foreign laws therefore leaves much of the liability with the human founder, creating a meaningful operational risk for startups that lack the legal safety nets of larger enterprises.

While AI excels at processing institutional data, its efficacy breaks down at the intersection of social capital. Overcoming the "liability of outsidership" requires building deep, relational trust with local actors (Johanson and Vahlne, 2009). Johanson and Johanson (2021) note that successful market entry requires network synchronization which means temporally matching a firm's activities to the local network. Despite the fact that AI allows a startup to achieve fast informational synchronization (e.g., localizing language and marketing), it struggles with relational synchronization. Studies suggest human involvement remains critical for interpreting tacit knowledge and managing relational trust (Bhatti et al., 2022; Johanson and Vahlne, 2009). Since an AI agent cannot negotiate a high-stakes B2B enterprise deal or replicate the empathy required for social legitimacy, a critical tension exists regarding how founders must balance the efficiency of AI with the necessity of human trust-building in foreign networks.

This reliance on hybrid human-AI collaboration places an added cognitive burden on the founder. The necessity of AI integration can be understood through the lens of bounded rationality, which assumes that human managers operate under strict limits of time, information, and cognitive capacity (Macleod and Pugalia, 2026). While recent studies explore how AI acts as a "co-founder" to facilitate early venture creation and enable leaner teams (Cai et al., 2025), Vahlne and Johanson (2017) warn that "managerial capacity" ultimately dictates a firm's evolutionary limit. This creates an "augmentation imperative" because AI yields the best long-term outcomes when it handles high-volume data processing, while human managers must retain control over imaginative thinking, cultural interpretation, and cross-border judgment (Macleod and Pugalia, 2026). However, having this judgment is psychologically taxing. Vahlne and Johanson (2020) recently noted that internationalization occurs under intense "VUCA" conditions (volatility, uncertainty, complexity, and ambiguity), where human managers are limited by

their emotions, intuitive biases, and a fear of losing resources. These psychological barriers traditionally cause managers to shy away from radical change in favor of slow, incremental steps. In an AI-first micro-team, the solo founder must audit and verify the high-speed output of autonomous agents while at the same time managing this emotional VUCA burden. The literature currently lacks a framework for understanding how human managers govern these high-speed AI outputs without becoming paralyzed by the psychological weight of their bounded rationality.

Finally, this mix of fast technological capability and human cognitive limits exposes an empirical void in International Business literature. The problem, therefore, is not whether AI agents will replace human founders in startup internationalization, but how the human utilization of these tools reshapes the micro-foundations of strategic decision-making. While recent research has begun exploring how massive tech companies internationalize AI products, there is a lack of research from an internationalization perspective regarding how traditional startups adopt these tools for market entry (Yildirim and Bengtsson, 2024). Current literature offers fragmented insights into this human-AI collaboration, lacking a coherent framework for understanding how the reliance on AI affects the roles, responsibilities, and analytical processes of human decision-makers in highly centralized startup environments (Seuss, 2025). Addressing this gap is necessary for advancing internationalization theory into the Industry 5.0 era, providing practical guidance to founders seeking to leverage algorithmic tools without compromising strategic coherence or data reliability.

1.3 Purpose

The purpose of this exploratory study is to investigate how human founders in AI-first startups use AI agents to support and shape their strategic decision-making during international expansion. Specifically, the study aims to bridge established internationalization theories, which traditionally emphasize manual experiential learning and human network embeddedness, with emerging Industry 5.0 paradigms of human-AI collaboration.

Rather than treating AI as a purely operational tool, this study positions AI agents as participants in strategic processes. It aims to explore the extent to which AI agents can perform tasks that are normally performed by founders and managers, how strategic responsibilities are reallocated, and which new managerial competencies become critical in AI-enabled internationalization contexts.

By examining the specific market-entry tasks that founders delegate to AI systems and analyzing how they evaluate AI-generated insights, this research seeks to understand the mechanics of technology-augmented decision-making in high-uncertainty foreign environments.

Lastly, the study strives to provide empirical insights into whether and how the strategic usage of AI tools alters a founder's reliance on traditional methods of knowledge accumulation, thereby advancing international business theory to reflect the dynamics of human-AI collaboration and technology-augmented decision-making in foreign market entry.

1.4 Research Questions

In order to fulfil its purpose, this study addresses the following research question:

How do human founders in AI-first startups use autonomous AI agents to inform and execute their international expansion strategies?

Sub-questions:

1. What specific market-entry processes and analytical tasks do founders choose to execute using AI agents to mitigate foreign market uncertainty?
2. How do founders evaluate and integrate the outputs of AI agents into their strategic decision-making when navigating high-uncertainty foreign environments?
3. How does the reliance on AI tools influence founders' perceptions of the need for traditional experiential learning and local network embeddedness?

1.5 Delimitations

This study is subject to several delimitations that define its scope and analytical boundaries.

First, the research focuses on "AI-first startups" rather than established multinational enterprises (MNEs) or traditional small and medium-sized enterprises (SMEs). Startups present distinct organizational characteristics, such as highly centralized decision-making, severe resource constraints, and a propensity for rapid growth, which provide a clear, concentrated context for observing the integration of AI into strategic processes.

Second, the unit of analysis is the human decision-maker and their strategic evaluation processes, rather than the artificial intelligence itself. Consequently, the study does not attempt to provide a technical evaluation of AI systems, algorithmic architectures, or coding parameters. The focus remains strictly on the managerial and cognitive implications of utilizing these tools.

Third, the empirical scope is limited to cross-border international expansion strategies and foreign market entry preparations. It excludes the use of AI in general domestic operations, product development, or routine administrative automation that does not directly impact internationalization.

Finally, given the highly emergent nature of AI-first operating models, the study adopts an exploratory, qualitative, and abductive research design. To ensure empirical rigor while navigating a new phenomenon, the methodology relies on a triangulation of primary data and secondary data. Because historical data on this specific intersection is currently limited, the study does not attempt longitudinal analysis or quantitative hypothesis testing, but rather aims to build a foundational, inductive understanding of a contemporary business shift.

1.6 Thesis Overview

This thesis is structured in six chapters.

Chapter 1 establishes the research background, identifies the theoretical tension motivating the study, states the research purpose, formulates the main research question and three sub-questions, and defines the study's delimitations.

Chapter 2 presents the theoretical framework. Three bodies of literature are drawn on: the Uppsala internationalization model and its network evolution, from which the concept of temporal friction is extracted as the baseline constraint on market entry; International New Venture theory, from which the concept of dynamic capabilities is extracted to examine whether AI can serve as a synthetic substitute for founder experience; and the Industry 5.0 and bounded rationality literature, from which the augmentation imperative is extracted to explain both the motivation for AI delegation and the necessity of human oversight.

Chapter 3 details the methodology. The study adopts an interpretivist philosophy and an abductive approach, operationalised through a qualitative, multiple-case study design with two phases of data collection: secondary document analysis of five enterprise-level AI-native firms, and six primary semi-structured interviews with early-stage startup founders and one expert interview.

Chapter 4 presents the empirical findings, structured around three themes that directly address the sub-questions: the operationalisation of agentic market-entry workflows, the navigation of algorithmic trust and the governance postures, and the re-evaluation of experiential learning and network embeddedness.

Chapter 5 analyses the findings against the theoretical framework in four stages, addressing each sub-question comparatively across all cases and synthesising the results into the AI-Augmented Internationalization Paradigm.

Chapter 6 presents the conclusions, including direct answers to all research questions, theoretical contributions, managerial and societal implications, limitations, and directions for future research.

2 Theoretical Framework

This chapter outlines the theoretical framework supporting the study by extracting one specific conceptual mechanism from three distinct theories to analyze how autonomous AI agents transform startup internationalization. First, from the updated Uppsala and Network models, the study extracts the concept of temporal friction to establish the baseline human constraints that traditionally dictate a slow, incremental market entry. Second, from International New Venture (INV) theory, it extracts the concept of dynamic capabilities to investigate whether algorithmic market-sensing can serve as a synthetic substitute for a founder's prior international experience to accelerate growth. Finally, from the Industry 5.0 and Bounded Rationality paradigm, the chapter extracts the augmentation imperative, which explains both a founder's motivation for adopting AI to overcome cognitive limits and the persistent necessity of human-in-the-loop oversight to manage relational trust, thereby constructing a targeted analytical base for the empirical findings.

2.1 The Uppsala Model and Experiential Learning

The Uppsala internationalization process model remains one of the most significant frameworks for explaining foreign expansion. Rather than remaining static, the model has continuously evolved to address the changing dynamics of global business. Tracing this evolution provides the baseline required to assess how AI disrupts traditional expansion.

Originally developed by Johanson and Vahlne (1977), the classical model states that internationalization is a slow, incremental process driven by the gradual accumulation of experiential knowledge. Essentially, experiential knowledge is subjective rather than objective as it is acquired through direct interaction within foreign surroundings rather than through secondary information sources (Schweizer et al., 2010). Because firms face a "liability of foreignness", meaning a lack of knowledge regarding local language, culture, and institutions, they must physically enter markets to learn, slowly increasing their resource commitment as their uncertainty decreases.

Recognizing the changing nature of global business, Johanson and Vahlne (2009) updated the model, shifting the focus from country borders to business networks. A central principle of this updated model is that the traditional "liability of foreignness" is secondary to the "liability of outsidership" (Johanson and Vahlne, 2009). The authors established that firms entering a new market often fail not because they are foreign, but because they lack a relevant network position and do not possess established trust with local actors, suppliers, and customers. Acquiring insider status requires mutual adaptation and trust-building within business networks (Bhatti et al., 2020). Because experiential knowledge is tacit and context-based, it cannot be entirely codified or replicated without lived experience (De Clercq et al., 2012). This logic points out that uncertainty is minimized slowly over time through human-led network embeddedness.

In 2017, the model was further updated to explain the broader evolution of the multinational enterprise by incorporating dynamic and operational capabilities. Essentially, this update identifies that "managerial capacity is typically the bottleneck in achieving growth" (Vahlne and Johanson, 2017, p. 1090). Firms rely on history-dependence and gradual experiential learning because human decision-makers operate under partial ignorance.

Building upon this, Vahlne and Johanson (2020) transitioned the model from a deterministic framework into an open evolutionary paradigm. While it can adapt to emerging technological realities, assessing AI's impact requires distinguishing between the specific types of uncertainty the model addresses: informational (knowledge gaps regarding demand/competition), institutional (regulatory ambiguity), and relational (trust barriers). They clarified that acquiring new market knowledge does not automatically show increased commitment but it can trigger fast de-commitment or radical strategic shifts. Furthermore, their 2020 retrospective highlights the psychological micro-foundations of this managerial bottleneck. They recognize that managers operate in "VUCA" environments (volatility, uncertainty, complexity, and ambiguity). Under these conditions, managerial decision-making is heavily constrained by emotional barriers, intuitive biases, and a natural fear of

resource loss, which limits firms to slow, incremental market entries rather than radical change. Therefore, traditional theory dictates that rapid scaling is inherently limited by the psychological and operational bandwidth of the human management team.

Most recently, the model updated the phenomenon of accelerated internationalization by introducing the temporal concepts of network entry speed and network synchronization (Johanson and Johanson, 2021). Network entry speed is defined as the relationship between the network insidership position gained and the time taken to achieve it. To increase this speed, a firm must achieve network synchronization, which is the process of temporally aligning its economic activities with the changing dynamics of the foreign market network.

Johanson and Johanson (2021) differentiate between sequential synchronization (activities following chronological order in direct relationships) and simultaneous synchronization (coordinating multiple activities across the network at once, requiring significantly more knowledge and capacity). Furthermore, firms can approach this proactively (preparing for anticipated network changes) or reactively (responding to unpredictable shifts). By defining these temporal mechanics, the 2021 framework provides the precise theoretical vocabulary needed to analyze how AI agents change the speed and synchronization of modern startup internationalization.

Therefore, the specific conceptual mechanism used from the Uppsala model for this thesis is the baseline of temporal and psychological friction. This concept is used as the primary analytical tool to evaluate how founders use algorithmic execution of AI agents to bypass the traditional assumption that human managerial capacity and sequential learning must act as a bottleneck to network entry speed.

2.2 Relational Embeddedness and Technological Trust

Building upon the network shift of the Uppsala model, successful internationalization relies entirely on a firm's capacity to build, sustain, and nurture relationships. Acquiring insider status and overcoming outsidership is a highly resource-dependent and slow process of mutual exchange (Vahlne and Bhatti, 2019). In modern Uppsala terminology, building this deep relational trust requires sequential synchronization, the chronological, back-and-forth human interactions necessary to navigate the emotional and cognitive complexities of a foreign VUCA environment (Johanson and Johanson, 2021; Vahlne and Johanson, 2020). To achieve "relational embeddedness" or the state of being recognized as a trusted network insider, human founders must commit significant time to these personal interactions (Vahlne, 2020). Relational learning during these interactions allows firms to understand local norms, unwritten rules, and unofficial business practices that are not captured in codified data (Bhatti et al., 2020).

While digitalization has created alternative channels of engagement (Ojala et al., 2018), digital connectivity does not automatically equate to relational embeddedness. Trust and legitimacy remain socially constructed phenomena (Vahlne, 2020). The introduction of AI agents introduces a theoretical tension here. AI systems can rapidly scan partners, analyze relationship histories, and make strategic recommendations, effectively allowing the startup to achieve massive simultaneous synchronization across a network (Johanson and Johanson, 2021; Ranjan et al., 2025; Buckley et al., 2026).

However, because relational uncertainty relies on social legitimacy, it cannot be entirely resolved via algorithms (Vahlne and Bhatti, 2019). This highlights the concept of "System Trust" or "Technological Trust." While AI cannot replicate human empathy, Gaikwad (2025) argues that advanced "trust architectures" in agentic systems can project reliability and security. Consequently, a paradox emerges: firms may begin to secure foreign partnerships based on the trusted efficiency of their AI agents (simultaneous synchronization), but overcoming deep

relational outsidership ultimately shifts the burden of trust back to the human manager's ability to sequentially synchronize with foreign partners.

Therefore, the specific conceptual mechanism extracted from the network approach for this thesis is the boundary of relational trust. This concept is used as the primary analytical tool to evaluate exactly where a startup's algorithmic efficiency ends, and where the absolute necessity of human-in-the-loop interaction begins to overcome the liability of outsidership.

2.3 International New Ventures and Born Global Theory

In contrast to the Uppsala model, International New Venture (INV) and Born Global theories explain how firms internationalize rapidly from inception. Oviatt and McDougall (1994) argue that INVs use entrepreneurial orientation, strategic nimbleness, and global perspective to enter foreign markets quickly. Complementing this, Madsen and Servais (1997) emphasize that the accelerated trajectory of Born Globals is heavily contingent upon the founder's background, specifically their prior international experience and pre-established personal networks. More recently, contemporary research on "born-digital" startups highlights how modern digital infrastructures have further accelerated this phenomenon (Vadana et al., 2021). Yet, even in these modernized frameworks, the speed of accelerated internationalization is traditionally viewed as being driven entirely by human entrepreneurial vision, manual global networking, and the founder's prior experiential knowledge (Knight and Liesch, 2016; Knight et al., 2025).

From a dynamic capabilities perspective, accelerated internationalization depends on market-sensing and rapid resource reconfiguration (Weerawardena et al., 2007, Teece et al., 1997). In this traditional view, the speed of internationalization is driven entirely by human entrepreneurial vision and capability.

The emergence of AI agents shifts this dynamic by introducing a non-human driver of speed. Where INV theory relies on the founder's existing cognitive frameworks to process market signals quickly, agentic AI processes massive datasets to predict trends and coordinate workflows autonomously (Hawkins and Calder, 2025a; Reddy et al., 2025). AI agents can thus compress the learning cycles previously dependent on the founder's innate talent (Buckley et al., 2026). While human strategic intent remains necessary at inception, AI acts as an algorithmic co-founder, providing the rapid market-sensing capabilities that characterize born-global firms.

Therefore, the specific conceptual mechanism extracted from International New Venture theory for this thesis is the role of dynamic capabilities as a catalyst for speed. This concept is used to investigate whether autonomous AI agents act as an artificial substitute for a human founder's traditional experiential background and pre-existing networks.

2.4 The Artificial Intelligence Paradigm

Modern technological shifts, specifically the transition toward Industry 5.0 and the advent of autonomous AI agents, threaten the fundamental assumptions regarding how firms acquire knowledge and reduce the aforementioned uncertainties. Digital infrastructures have compressed time and space, enabling firms to gather market intelligence and organize global activity faster than ever before (Monaghan et al., 2020; Ojala et al., 2018). Building upon this, agentic AI introduces a disruptive dimension. Capable of planning autonomously, adapting to changing circumstances, and coordinating workflows (Hawkins and Calder, 2025a), AI agents act as semi-autonomous strategic players.

2.4.1 Bounded Rationality and the Augmentation Imperative

To understand AI's role in internationalization, it is vital to trace the evolution from basic digitalization to current paradigms of organizational learning. Initially, Industry 4.0 provided the structural enablers for rapid market entry, allowing firms to gather market intelligence without a heavy physical presence (Bargoni et al., 2024).

However, the emerging paradigm of Industry 5.0 introduces a critical shift toward human-centricity (Borchardt et al., 2022). This shift perfectly aligns with the theoretical lens of bounded rationality, which postulates that human managers operate under strict limits of time, information, and cognitive capacity (Macleod and Pugalia, 2026). Recent literature conceptualizes AI as a "cognitive substrate" or executive co-pilot that extends this bounded rationality, allowing founders to rapidly simulate complex internationalization paths and process massive datasets at a scale impossible for humans alone (Chinnaraju, 2025).

However, research underscores an "augmentation imperative": AI yields the best long-term outcomes when it handles high-volume data processing, while human managers retain control over imaginative thinking, cultural interpretation, and cross-border judgment (Macleod and Pugalia, 2026).

Therefore, treating AI as a complete substitute for human experiential knowledge is insufficient. Instead, the Industry 5.0 framework supports a hybrid model, where AI agents act as partners that augment, rather than replace, human strategic judgment (Brendl and Sweldens, 2023).

2.4.2 Agentic AI in Internationalization Functions

To analyze how AI reshapes human decision-making, its impact must be examined across specific operational and strategic functions. Distinguished by its autonomy, reactivity, and proactivity, Agentic AI enables resource-constrained organizations to seamlessly outsource complex analytical work (Hosseini and Seilani, 2025). The deployment of these agents is the defining characteristic of "AI-first" startups, which aim to scale across markets without proportional increases in headcount.

A major cause of institutional uncertainty is regulatory complexity. Intelligent regulatory technologies (RegTech) are AI applications that autonomously track compliance, decode emerging legislation, and enforce standards across borders (Espinal De Aza, 2025). By automating these checks, AI dramatically reduces the time spent on trial-and-error experiential learning in new legal environments (Moharrak et al., 2024). Similarly, AI mitigates informational uncertainty in market development. Agentic systems can identify potential leads, predict demand, and accelerate localization by automatically tailoring content to specific cultural demands (Menzies et al., 2024). In these functional areas, AI directly substitutes the need for prolonged experiential market testing (Buckley et al., 2026).

While AI easily handles data, relational uncertainty regarding intercultural communication is more complex. Today, agentic AI is increasingly used to mediate language barriers through real-time multilingual assistance and culturally adjusted communication tools (Hawkins and Calder, 2025a). However, utilizing AI in this space carries strategic risks; over-reliance on automated communication may miss subtle cultural nuances and damage trust (Ahmad, 2025).

While Cai et al. (2025) find that GenAI acts as a substitute for the experience, financing, and managerial-labour inputs that constrain firm formation, this study argues that under relational uncertainty and high-stakes market entry its role narrows to that of an augmenting "co-founder," extending rather than replacing human judgement.

Therefore, the specific conceptual mechanism extracted from the Industry 5.0 paradigm is the augmentation imperative. This concept is used to analyze how resource-constrained founders divide labor with AI, specifically evaluating how they manage technological uncertainty and verify algorithmic outputs when entering foreign markets.

2.5 Theoretical Synthesis and Conceptual Model

The theoretical concepts outlined in this chapter do not operate in isolation; rather, they must be synthesized to understand the disruptive impact of AI on startup internationalization. Following the abductive logic of Dubois and Gadde (2002), this study combines the specific conceptual mechanisms extracted from each theory to create a unified conceptual framework.

At the foundation of this synthesis is the updated Uppsala Model (Johanson and Vahlne, 2009; Vahlne & Johanson, 2020), which establishes the baseline constraint of temporal and psychological friction. It dictates that network entry speed is traditionally limited by the founder's psychological bandwidth in VUCA environments and the time required for experiential learning. Conversely, International New Venture (INV) Theory (Oviatt and McDougall, 1994) demonstrates that these friction timelines can be compressed when a firm leverages strong dynamic capabilities and prior international vision.

To bridge the gap between Uppsala's friction and INV's speed in the modern era, this framework integrates the Industry 5.0 and Bounded Rationality Paradigm (Macleod and Pugalia, 2026; Chinnaraju, 2025). It conceptualizes agentic AI as a synthetic dynamic capability that absorbs the informational friction of foreign markets. By delegating massive data processing to AI, the founder overcomes their bounded rationality, effectively bypassing the traditional need for slow experiential learning.

However, this synthesis is ultimately governed by the Network Approach and the Augmentation Imperative (Johanson and Vahlne, 2009; Macleod and Pugalia, 2026). These theories establish the boundary of relational trust . Because AI cannot

replicate human empathy or navigate deep relational outsidership, the framework asserts that the human founder must remain in the loop.

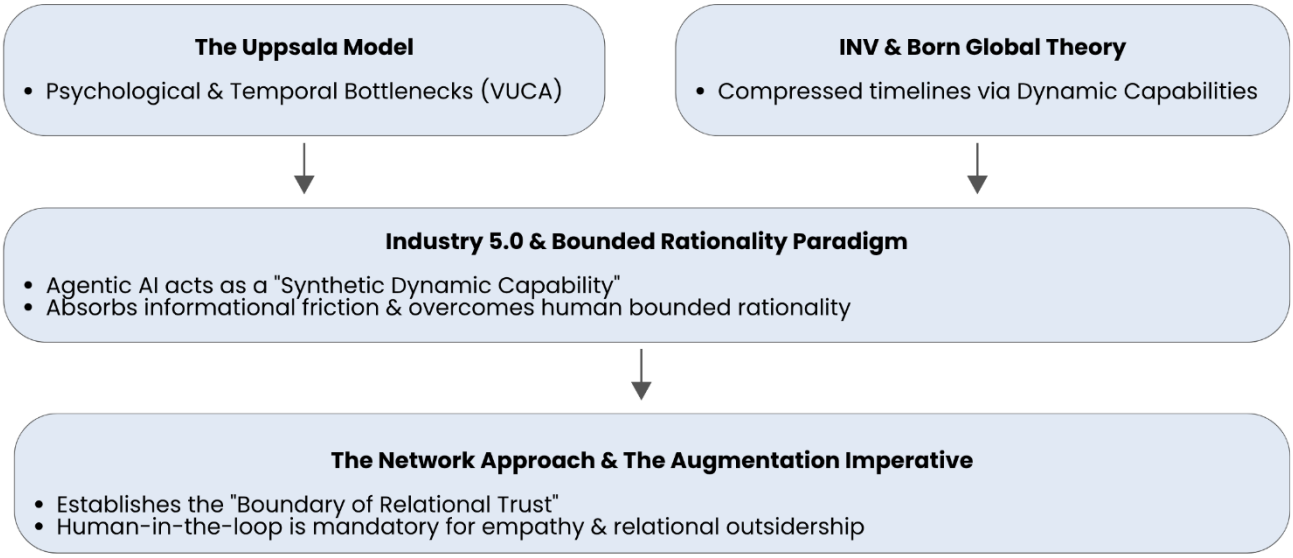


Figure 1: Conceptual framework created by the authors of the study based on the theoretical framework

Ultimately, this synthesized framework serves as the analytical lens, mapping all the data directly to the study's three research sub-questions.

Addressing Sub-Question 1:

Addressing the first sub-question involves investigating the specific operational tasks delegated to AI during the earliest stages of foreign market entry. This inquiry is grounded in International New Venture (INV) theory and the emerging AI paradigm. Traditionally, INV theory argues that rapid market entry relies heavily on the human founder's prior international experience to sense and seize opportunities. However, this study uses these theoretical lenses to analyze whether autonomous AI agents now act as a "synthetic dynamic capability". The subsequent analysis will evaluate how startups use algorithms to instantly gather market intelligence, conduct fast market-sensing, and overcome "informational outsidership" without requiring a physical footprint or prior human experience in the target country.

Addressing Sub-Question 2:

The second sub-question explores the critical division of labor between the human founder and the AI, specifically focusing on how founders verify algorithmic outputs and manage operational risk. This area is analyzed through the theoretical lenses of the Industry 5.0 paradigm and bounded rationality. Human managers inherently operate under bounded rationality, meaning they are cognitively limited by time, resources, and the vast complexity of foreign regulatory environments. While delegating massive data processing to AI solves this informational bottleneck, it simultaneously introduces technological uncertainty, such as the risk of AI hallucinations or legal non-compliance. Consequently, this question is evaluated through the "augmentation imperative," which assesses the specific governance frameworks that founders use to audit AI outputs and maintain human-in-the-loop control over high-stakes, strategic decisions.

Addressing Sub-Question 3:

The third sub-question seeks to identify the absolute limits of algorithmic execution in internationalization, particularly regarding partnership development and social capital. This inquiry is firmly rooted in the classical Uppsala model and the network approach. While AI can rapidly process global information, network theory dictates that overcoming the "liability of outsidership" ultimately requires deep, mutual trust and empathy between human partners. Therefore, traditional theory is used here to establish the "boundary of relational trust". The resulting analysis will assess whether rapid algorithmic network entry speed can truly replace the need for slow, human-led relationship-building, mapping exactly where the algorithm's capability concludes and where human social embeddedness remains strictly mandatory.

3 Methodology

This chapter outlines the methodological framework used to conduct this research. It details the research philosophy, approach, and design, followed by a transparent description of the data collection, sampling criteria, and analytical procedures. Finally, it addresses research quality, ethical considerations, and authors' contributions.

3.1 Research Philosophy

This study adopts an interpretivist research philosophy. Interpretivism argues that reality is socially constructed and subjective, meaning that it is not necessary to seek objective, universal laws but rather to understand the meanings people attribute to their actions and experiences (Saunders et al., 2009). Interpretivism is fundamentally opposed to the approach of studying the social world in the same manner as the natural world: through measurement and statistical generalization (Bryman, 2012). Thus, such a way of thinking is not taken for granted but is required by the phenomenon under study. The goal of the study is to find out how foundational and/or human actors within AI-first startups sense uncertainty, how they trust and act on AI-generated outputs, and how they make strategic decisions about delegating internationalization to AI agents. As basic thinking processes, they are subjective and context-dependent, and can differ from person to person, across organizational contexts, and in foreign market contexts. Interpretivism is thus the sole philosophical stance that allows research to gain access to and make sense of these nuanced human experiences as they are experienced in their full complexity (Saunders et al., 2009). Four other philosophies were explored and rejected. Positivism, which seeks to measure constructs and then statistically test them, was rejected due to the lack of measurement instruments for the constructs being studied and because an emerging phenomenon is unsuitable for statistical testing (Edmondson and McManus, 2007). Although post-positivism is more epistemologically modest, it still privileges the confines of hypothesis testing and causal explanation. This direction is counter to the endeavor to address subjective experience in the study. Structural aspects of critical realism (macro-level

mechanisms) were deliberately disregarded, as they risked overpowering founders' individual cognitive experiences. Although flexible, Pragmatism was not required, as the phenomenon was too early in its development to incorporate quantitative factors. In practice, interpretivism can also influence data collection, such as semi-structured interviews, which enable founders to reflect on and express their experiences (Brinkmann and Kvale, 2018), and thematic analysis, which can surface patterns of meaning rather than statistical frequencies (Braun and Clarke, 2006). This is in line with the methodology used in the study, which is abductive (Dubois and Gadde, 2002), one direction going from the theory to the observation and the other from observation to the theory, thus arriving at different insights, suitable to the reality of the AI-first internationalization as an emerging field.

3.2 Research Approach

This study adopts an abductive research approach to investigate the internationalization of AI-first startups. An abductive approach, often characterized by "systematic combining," relies on a continuous back-and-forth interplay between empirical observations and theoretical frameworks (Dubois and Gadde, 2002; Saunders et al., 2019). Because existing international business theories, such as the classical Uppsala model and INV theory, do not yet fully account for modern algorithmic variables, a purely deductive approach, which relies on testing mature, established hypotheses (Bryman and Bell, 2011), was rejected as overly rigid for this new topic. In addition, a purely inductive approach, which seeks to build theory entirely from scratch (Bryman and Bell, 2011), was also rejected, as it would disregard the highly relevant, foundational constructs of existing network theory and bounded rationality. Therefore, abduction provides the necessary flexibility to refine existing theories in light of new empirical realities.

The research did not proceed in a linear way, but rather, it was conducted through an iterative process of matching theory with evolving data.

First, the research began with a theoretical baseline. Foundational concepts, specifically experiential learning, the liability of outsidership, and bounded

rationality, were extracted from the literature to act as the researcher's "articulated preconceptions" (Dubois and Gadde, 2002).

Second, rather than jumping straight to primary interviews, these preconceptions were tested against exploratory secondary data (Phase 1). By analyzing how mature scale-ups use AI, the initial theoretical framework was challenged and refined.

This critical intermediary step allowed the researcher to "redirect" the study based on empirical surprises. The insights from the secondary data directly informed the creation of the primary interview guide, ensuring the questions asked of the early-stage founders in Phase 2 were precisely targeted at the gaps between traditional theory and modern AI capability.

Finally, during the analysis phase, the primary interview data were continuously triangulated back against the original theories. This systemic integration enabled the study to develop a synthesized conceptual framework that bridges the gap between traditional network theory and the Industry 5.0 paradigm.

3.3 Research Design

The selection of an appropriate research design is dictated by the nature of the research problem, the maturity of the existing theory, and the specific questions being asked (Saunders et al., 2019). In order to investigate how founders in AI-first startups use agentic AI during international expansion, this study adopts an exploratory, qualitative research design. Qualitative research is designed to explore complex, context-dependent social phenomena and understand the subjective meanings that individuals attach to their experiences (Saunders et al., 2019). In addition, during the data collection and analysis phase, it focuses on words and not numbers (Bell et al., 2019; Saunders et al., 2019). Because this thesis asks "how" founders integrate AI into their specific workflows and "why" they evaluate algorithmic intelligence in certain ways, a qualitative methodology is the most rigorous choice. According to Yin (2018), qualitative case study methods are heavily favored when answering "how" and "why" questions, particularly when the

researcher has little control over behavioral events and the focus is on a contemporary phenomenon within its real-life context.

Furthermore, this choice aligns perfectly with contemporary methodological standards in the specific domain of AI entrepreneurship. By employing semi-structured interviews, qualitative research captures the nuanced, mechanism-level strategic trade-offs and tacit knowledge transfers that quantitative metrics cannot measure (Corbin and Strauss, 2008).

Specifically, an exploratory multiple-case study, which seeks to “discover what is happening and gain insights about a topic of interest”, has been conducted (Saunders et al., 2019, p.186). Because "AI-first internationalization" is a highly contemporary development lacking sufficient longitudinal data, a multiple-case study design is chosen over a single-case study to enable cross-case synthesis. This approach is considered as a comparative method that adds critical nuance to the empirical findings. It does not only highlight the distinct and shared characteristics across the sample but also serves as the foundation for subsequent theoretical reflection (Bell et al., 2019). Furthermore, this design enables a deeper comprehension of complex phenomena as they unfold within their real-world contexts (Saunders et al., 2019). By analyzing data across several distinct startups, the study can identify consistent patterns in how AI alters experiential learning, thereby providing more robust and generalizable theoretical insights.

In contrast, quantitative research design is typically used when testing established theories, measuring objective variables, and identifying statistical correlations across large sample sizes (Dahmström, 2011). While a quantitative approach could potentially measure the frequency of AI tool usage or the speed of market entry, it was deemed unsuitable for this study. The integration of agentic AI in strategic decision-making, and specifically the mechanics of how human founders evaluate algorithmic outputs and manage relational uncertainty, is a highly nascent phenomenon. As Edmondson and McManus (2007) argue, applying quantitative variance testing to nascent, fragmented theories often yields superficial results because the underlying constructs (such as "algorithmic trust" or "architectural

judgment") have not yet been clearly defined or operationalized in existing literature.

Finally, to ensure empirical rigor and address the novelty of the topic, the research design relies on methodological triangulation (Patton, 2015). This process of cross-verifying multiple data sources to strengthen qualitative validity is actively executed throughoutthe Analysis chapter, where the secondary scale-up baseline (Phase 1) and the primary startup interviews (Phase 2) are continuously synthesized against the theoretical framework.

3.4 Data Collection Strategy

Data collection is structured in a two-phase approach to maximize the depth and relevance of the empirical findings.

3.4.1 Phase 1: Secondary Data Collection

Before engaging with startup founders, an initial analysis of secondary data was conducted. To qualify as a secondary case, firms needed to be established post-startup scale-ups or multinationals (e.g., tech unicorns) with proven, publicly documented success in using AI-native operations for cross-border expansion. To establish an expert benchmark of AI-first internationalization at scale, a purposive sampling of secondary data was collected for five established AI-native companies: Alan, Deel, Brex, Qonto, and Einride. Document analysis is defined as a systematic procedure for reviewing or evaluating printed and electronic materials to elicit meaning, gain understanding, and develop empirical knowledge (Bowen, 2009). Rather than relying on unstructured reading, this phase made use of documents because they are "non-reactive" and stable, meaning they are unaffected by the research process and the investigator's presence (Bowen, 2009). The collected data included corporate blogs, official press releases, and published case studies. This secondary data was specifically selected because these firms represent successful AI integrations across highly regulated industries (e.g., FinTech, Logistics, HR). Thus, they provide background information and contextual insight that help

researchers understand the conditions impinging upon the phenomena currently under investigation (Bowen, 2009).

Target Firm	Document Title	Document Type	Analytical Focus
Alan	The End of Data Queues: How Alan Scaled Analytics with Dust	Corporate Case Study	Scaling internal analytics to decentralize experiential knowledge across non-technical teams.
Alan	How Alan produces customer stories 80% faster with Dust	Corporate Case Study	Utilization of a "Translation and Grammar Agent" to manage brand voice across European markets.
Alan	Alan Goes All-In on AI	Industry Publication (The French Tech Journal)	Strategic overview of predictive analytics automating customer support to increase productivity.
Brex	How we're building AI-native operations at Brex	Corporate Publication (Brex Journal)	Implementation of an AI-native, multi-agent architecture to manage primary risk and compliance tasks.
Brex	The end of the trade-off: How AI agents broke the onboarding trilemma	Corporate Publication (Brex Journal)	Automating global customer onboarding to scale operations without proportional human compliance hires.

Brex	The Brex Blog	Corporate Blog / Resource Hub	General corpus of documentation regarding continuous updates to AI-led operational substitution.
Deel	Meet Deel IQ—our AI global work assistant	Corporate Blog / SHRM News	Deployment of CHATGPT paired with a proprietary database to automate cross-border labor law compliance.
Deel	Meet the Deel AI Workforce (they're ready to work)	Corporate Blog	Overcoming cross-border hiring barriers without traditional, gradual localized relationship building.
Deel	Is the AI Hype Translating to AI Jobs?	Corporate Research Report	Broad industry impacts of automated scaling on global recruitment speed.
Deel	Resource Hub | Deel	Corporate Resource Hub	Supporting documentation and updates regarding global HR compliance automation.
Einride	Einride Aims to Lead a Driverless Revolution	Investor Case Study (EQT Group)	Use of "Einride Saga" AI operating system to coordinate international dispatch and physical routing.

Einride	Einride Doubles Electric Operations with PostNord in Norway	Press Release (PR Newswire)	Execution of autonomous cross-border freight, utilizing AI to simultaneously manage navigation and customs clearance.
Qonto	How Qonto Achieved 70% Faster Localization and Streamlined Operations with AI Agents	Corporate Case Study	Deployment of "Germi" (compliance) and "Tolki" (localization) agents to manage institutional and linguistic variables.
Qonto	Qonto Accelerates Multi-Market Growth with Streamlined AML Screening	Corporate Case Study	Centralizing Anti-Money Laundering (AML) processes through AI to facilitate multi-jurisdictional scaling.

Table 1: Secondary Data Document Corpus

The secondary document corpus was subjected to an iterative evaluation process that combined elements of content analysis and thematic analysis (Bowen, 2009).

First, through content analysis, information was systematically organized into categories related to the central questions of the research (Bowen, 2009). Then, thematic analysis was applied to facilitate pattern recognition within the data, allowing emerging themes to become the categories for further analysis (Bowen, 2009). This procedure helped the researchers to effectively find, select, appraise, and synthesize data (Bowen, 2009) regarding how expert firms delegate internationalization tasks to AI.

In alignment with the abductive logic of "systematic combining," which relies on a continuous movement between the empirical world and the theoretical framework (Dubois and Gadde, 2002), this initial analysis yielded specific a priori constructs. They served as the direct foundation for the primary interview guide. Using multiple sources of data in this way contributes to discovering new dimensions of the research problem, leading to a necessary redirection or refinement of the study (Dubois and Gadde, 2002). By identifying what AI achieves at the enterprise level, the researchers translated these findings into targeted interview questions for the early-stage founders as well as for the Deel UK interview. This step ensures the primary interviews were theoretically grounded in proven industry realities, illustrating the constant "back and forth" interplay between empirical observation and theory that is the hallmark of an abductive approach (Dubois and Gadde, 2002).

Additionally, the researchers conducted an internet-mediated observation process. The internet-mediated observation aims to discover people's social ties and interactions on online platforms (Saunders et al., 2019). The online behaviors and interactions of the case companies within their ecosystems have been investigated with the assistance of the Strawberry Browser to scrape through their social media presence (LinkedIn profiles). This type of observation was used for both secondary and primary data.

3.4.2 Phase 2: Primary Data Collection

The primary empirical data has been gathered through semi-structured interviews. This type of interview is more flexible than a structured one and provides a thematic framework to ensure consistency across cases while allowing founders the flexibility to elaborate on their cognitive processes, trust in AI, and perceptions of experiential learning (Saunders et al., 201; Bell, Bryman and Harley, 2022). While the questions asked have been well prepared via the interview guide on Apendix A and were the same for each interviewee, they could be adapted during the interview regarding the flow of the conversation (Bell, Bryman and Harley, 2022). Furthermore, the semi-structured interviews allow for the possibility to formulate

follow-up questions in order to clarify or elaborate on statements from the interviewee.

Startup	Interviewee &Role	Industry / Sector	Interview Date	Format	Interview Length
Sourcicle	Linus Diestelkamp, (Co-founder)	B2B Recruiting SaaS	16 April 2026	Online (Google Meet)	35 min
ZeroPoint Technologies	Angelos Arelakis, (Co-Founder & CTO)	Deep-Tech (Data Compression)	17 April 2026	Online (Google Meet)	40 min
Neurawave	Alexander Lindgren, (Founder & CEO)	Med-Tech (Hardware/Software)	17 April 2026	Online (Google Meet)	35 min
Amass Technologies	Henrik Jensen, (Co-founder & CEO)	Life Sciences AI	30 April 2026	Online (Google Meet)	40 min
Raal	Andres Kõiva, Co-founder	IT Hardware Management SaaS	30 April 2026	Online (Google Meet)	30 min
Deel UK	Daizy Chebet Limo, (Principal Product and Operations Manager, UK)	Global HR & Payroll SaaS	17 April 2026	Online (Google Meet)	40 min

Table 2: Overview of Primary Interview Participants

Interviews were conducted virtually via internet and video-conferencing tools and they followed a synchronous electronic approach as the data was gathered in real time transmission (Saunders et al., 2019). This choice was made because web-conferencing tools such as Google Meet allow to reach participants from different locations. However, they have all received pre-interview information including a consent form.

Afterward, six interviews were conducted from week 16 to 19. They were held in English and have been audio or video-recorded after the consent of the interviewees through a consent form demonstrated in Appendix B. The recordings of the interviews were transcribed from an oral to a written format implying change and transformation (Brinkmann and Kvale, 2018). A transcript is an interpretation decontextualizing conversation (Brinkmann and Kvale, 2018) that is valuable for the analysis of the data. The transcription of these interviews was done by using AI tools such as Sonix and Depict.

To ensure the empirical data is relevant, comparable, and directly addresses the research questions, a purposive sampling strategy is used (Bell, Bryman and Harley, 2022). To be selected for the study, firms and interviewees had to meet these criteria:

Criteria for Primary Case Selection:

1. AI-First Operations: The startup must actively use autonomous AI agents or advanced generative AI workflows within its strategic or operational processes. Firms that merely use basic digital tools (e.g., standard CRM software) or basic AI chatbots for low-level administrative tasks will be excluded. The AI must act as a functional support system for the founder's market-entry strategy.
2. International Footprint: The startup must be actively preparing for, or currently executing, cross-border expansion into at least one foreign market.

Criteria for Participant Selection:

1. Strategic Decision-Makers: Participants must be decision-makers responsible for international growth. This ensures the unit of analysis remains focused on human strategic decision-making rather than purely technical AI development.

Sourcing primary participants was highly challenging, mainly due to the fast-paced, high-pressure nature of the early-stage startup ecosystem. Securing connections and interview commitments from founders was difficult, not because they lacked the relevant AI-first operations, but because they are time-constrained. Extensive, active outreach was conducted, contacting 29 regional innovation hubs across Sweden, 9 representatives of Venture Capital firms, 30 European startup founders, and the researchers' personal networks. However, this yielded a high non-response and rejection rate, with many founders explicitly stating they were too busy to participate in an academic interview or declining at the last minute. This practical constraint defined the methodology of the study. To solve this issue and ensure the thesis maintained empirical rigor, the research design was adapted to also leverage the secondary document corpus alongside an expert interview with a representative from Deel UK.

Although the primary empirical sample is intended to include only early-stage, AI-first startups, this research design intentionally incorporates a theoretical sampling exception. This decision aligns with the principles of purposeful sampling, wherein 'information-rich cases' are selected to yield maximum insight into the phenomenon under investigation (Patton, 2015; Yin, 2018). Deel operates as a multinational corporation that has successfully achieved global scale by leveraging an AI-native operational architecture. In the context of this study, Deel represents a critical case (Flyvbjerg, 2006) because it functions as an expert that has successfully navigated the institutional and relational uncertainties traditionally outlined by the Uppsala model (Johanson and Vahlne, 2009).

The inclusion of this expert case serves a dual methodological imperative. First, it facilitates comparative analysis. By contrasting the new, experimental agentic workflows of early-stage founders against the mature, enterprise-level AI structures

of a post-startup multinational, the study can better isolate the long-term strategic viability of AI-driven internationalization (Eisenhardt, 1989). Second, this approach introduces a robust layer of methodological triangulation (Denzin, 2012). While Deel's publicly documented scaling architecture is synthesized as secondary literature within the theoretical framework to establish the current industry baseline, the primary interview data provides exclusive, internal operational perspectives. Contrasting these public corporate narratives with private empirical realities significantly enhances the internal validity, dependability, and overall credibility of the research findings (Guba and Lincoln, 1994).

3.5 Operationalization

In this qualitative study, operationalization served as the bridge between the theoretical framework (Chapter 2) and the exploratory secondary data (Phase 1) to the primary interview guide and subsequent data analysis. The development of the interview protocol followed a systematic process based on abductive principles.

In abductive research, the theoretical framework serves as the necessary starting point, acting as the researcher's "articulated preconceptions" before entering the empirical world. According to Dubois and Gadde (2002), this preliminary analytical framework is an essential cornerstone that provides general guidelines and directs the initial search for empirical data. In this study, foundational constructs derived directly from the literature review, such as 'institutional uncertainty,' 'experiential learning,' and 'relational embeddedness', were used to build the theoretical baseline of the interview guide. Then, the exploratory secondary cases were analyzed to add industry context, allowing the framework to evolve and generate highly targeted, relevant questions for the early-stage founders.

For example, to operationalize the highly abstract theoretical concept of the "augmentation imperative," founders were asked situational questions about how they specifically verify AI outputs before making foreign market decisions. During the analysis phase, these constructs were used as the deductive base codes used to initially categorize the transcribed interview data, ensuring an unbroken

methodological alignment from literature review to empirical synthesis.

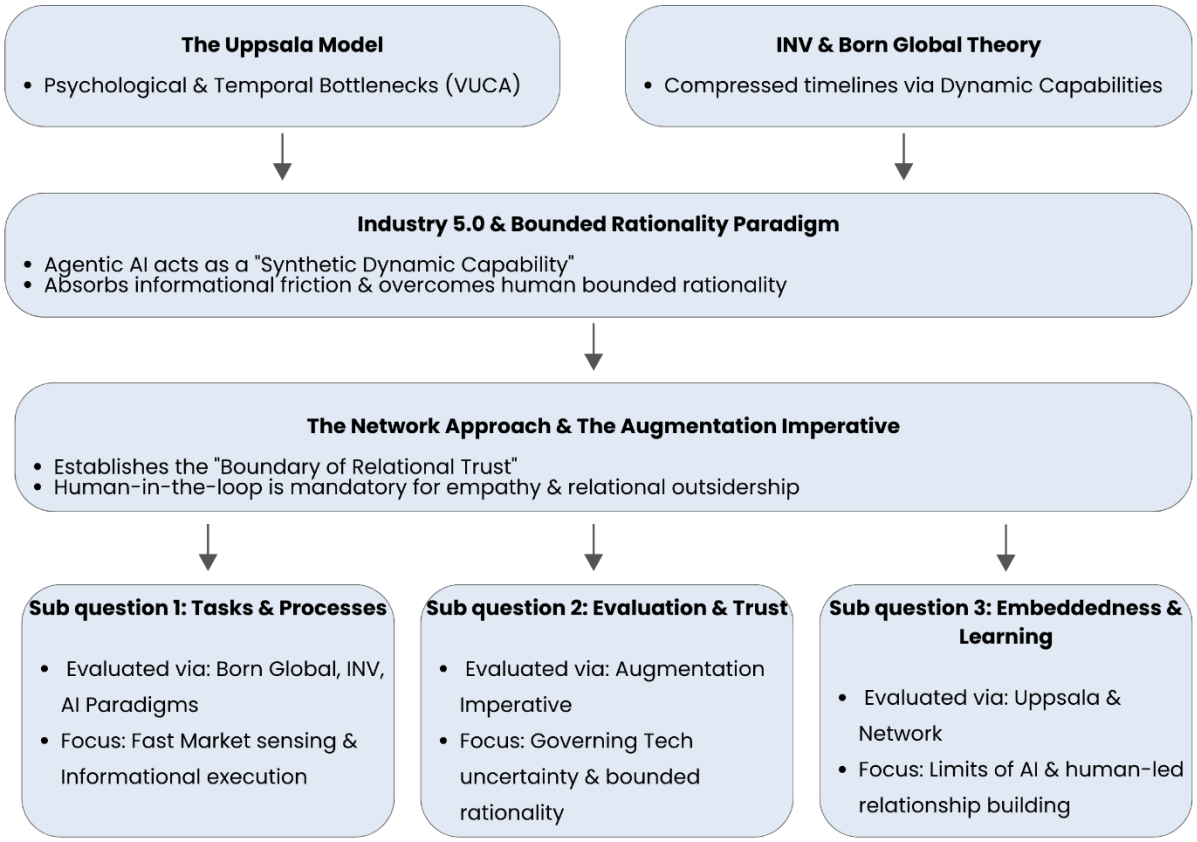


Figure 2: Operationalization of Theoretical Constructs

3.6 Data Analysis Method

The transcribed interview data was analyzed using Thematic Analysis (Braun and Clarke, 2006). This method involves systematically identifying, organizing, and offering insights into patterns of meaning or themes. Given the abductive approach, the analysis relied on a continuous interplay between the theoretical framework and empirical observations. Rather than simply mixing deductive and inductive approaches, this abductive logic uses an "evolving framework" that is successively modified by unanticipated empirical findings (Dubois and Gadde, 2002).

Following the study's abductive logic, the coding process moved iteratively between the raw empirical data and the theoretical framework.

First, the interview transcripts were reviewed to extract initial descriptive codes based directly on the founders' lived experiences and operational realities. Next, these descriptive codes were abstracted into higher-level theoretical concepts by triangulating the data with the theoretical baseline established in Chapter 2. Finally, these concepts were synthesized into the three overarching empirical themes that structure the analysis in Chapter 5.

To provide full methodological transparency regarding this systematic combining, a detailed excerpt of the coding matrix is provided in Appendix C, illustrating the direct analytical progression from raw interview quotes to the final theoretical themes.

3.7 Research Quality

To ensure the rigor and quality of this qualitative study, the positivist concepts of reliability and validity were rejected in favor of Guba and Lincoln's (1994) criteria for trustworthiness. Because this study explores the highly contextualized phenomenon of AI-first internationalization, evaluating the research through the dimensions of credibility, transferability, dependability, and confirmability provides a more accurate measure of methodological quality.

Credibility refers to the confidence in the "truth" of the research findings. In this study, credibility was primarily established through methodological triangulation. As established in the research design, the findings were secured by continuously triangulating the secondary data from mature scale-ups (Phase 1) with the primary interview data from early-stage founders (Phase 2). By observing consistent patterns across both data sources, such as the utilization of AI for regulatory compliance and the strict boundary of human relational trust, the conclusions are rendered significantly more robust. Furthermore, credibility was reinforced through respondent validation, in which interviewees were offered the opportunity to review their transcripts to ensure their operational realities were accurately captured.

Transferability involves providing enough contextual detail that future researchers can determine if the findings are applicable to other settings. This was achieved by

providing thick descriptions of the specific empirical context. Rather than presenting generic findings, the study contextualized the resource constraints, funding stages, and specific AI architectures used by the selected startups, enabling the reader to assess how these AI governance models might transfer to other industries or larger multinational enterprises.

Dependability ensures that the research process is logical, traceable, and clearly documented. This criterion was maintained by developing a transparent "audit trail" throughout the methodology chapter. The study explicitly details how sampling criteria were applied, how the interview guide was abductively developed from the theoretical framework, and exactly how the interview codes were abstracted into theoretical themes (as demonstrated in the coding matrix in Appendix C).

Finally, Confirmability addresses the need for the research findings to be shaped by the respondents and the data, rather than researcher bias. This was actively managed through the abductive approach itself. By explicitly stating the study's theoretical preconceptions in Chapter 2, and then allowing the secondary and primary data to actively challenge and rewrite those preconceptions (such as discovering the "speed maximalist" governance failure), the study ensures that the final conceptual framework traces directly back to the founders' lived narratives.

3.8 Ethical Considerations

The research was conducted in strict adherence to academic ethical guidelines and European data protection regulations. Given the highly emergent nature of agentic AI, early-stage startups increasingly rely on proprietary operational strategies and highly specific AI technology stacks to maintain a competitive advantage. Consequently, preserving the confidentiality of corporate strategy and safeguarding participant data was treated as a paramount methodological priority.

Prior to any data collection, all participants were provided with a comprehensive informed consent form (see Appendix B) detailing the exact purpose of the study. Participation was entirely voluntary, and founders were granted the explicit right to withdraw from the research at any time without consequence. To accommodate the

sensitive nature of their operational strategies, all participants were given the choice to remain completely anonymous or to have their startup's name published.

Crucially, the handling of all primary data was designed to ensure strict compliance with the General Data Protection Regulation (GDPR). All recorded interviews and digital transcripts were stored securely on password-protected, encrypted local drives rather than vulnerable cloud servers. Personal identifiable information was decoupled from the raw data wherever possible, and the collected data was used exclusively for academic analysis. Upon the final grading and publication of this thesis, all raw audio recordings and sensitive operational data will be permanently deleted to ensure the long-term privacy and security of the participating founders.

3.9 Authors' Contributions

This thesis is the result of a collaborative research effort, with both authors taking joint responsibility for the final manuscript. While the overall research problem was developed collaboratively, specific early phases of the project were delegated to maximize operational efficiency and play to individual research strengths.

Mourine took primary responsibility for the initial theoretical scoping of the study, drafted the foundational literature review, authored the preliminary draft of the secondary case findings, and sourced the expert interview for Phase 1.

Greis took primary responsibility for the Introduction, Methodology, structural research design, and data curation. For Phase 1, this included identifying the specific secondary scale-up cases and compiling the associated document corpus. For Phase 2, she worked on the abductive interview protocol and sourced the five primary early-stage AI startups. Additionally, Greis managed the primary data collection and transcribed the interviews. Both authors participated in all interviews.

Following the data collection, both authors worked collaboratively to execute the empirical analysis (Chapter 5) and develop the final theoretical and managerial conclusions (Chapter 6). The thematic coding, theoretical triangulation, and

finalization of the conceptual model were conducted as a joint effort to ensure analytical rigor and mitigate researcher bias.

Finally, Greis made any structural revisions to ensure tight methodological alignment, and both authors reviewed and approved the final manuscript to ensure a cohesive academic voice.

4 Empirical Findings

This chapter presents the empirical data gathered to investigate how founders of AI-first startups use autonomous agentic workflows during international expansion. In alignment with the two-phase research design detailed in the Methodology, this chapter is divided into two distinct empirical sections: secondary data and primary data.

The first section (4.2) presents secondary empirical findings derived from five cases: Alan, Deel, Brex, Qonto, and Einride. The second section (4.3) presents the core primary data gathered from semi-structured interviews with early-stage startup founders, supplemented by one primary expert interview with Deel UK.

To facilitate cross-case synthesis, the primary interview findings are structured thematically rather than case-by-case. These themes directly address the research sub-questions by mapping the operational tasks delegated to AI, the human-in-the-loop mechanisms used to manage algorithmic trust, and the perceived impact on traditional network embeddedness.

4.1 Phase 1: Secondary Qualitative Findings

To establish a baseline regarding how mature, well-resourced AI-native organizations delegate cross-border tasks, a qualitative analysis was conducted on corporate documentation from five multinational scale-ups (Alan, Deel, Brex, Qonto, and Einride). Rather than providing an exhaustive operational history of each firm, this section aims to extract specific a priori constructs to inform the primary interview guide. Table 3 outlines the expert firms and their extracted operational themes.

Company	Sector	HQ / Target Markets	Operational AI Task (Reported Use Case)
Alan	Digital Health Insurance	France, Spain, Belgium, Canada	Deploys analytics agents to instantly query internal data and translation agents to localize cross-border communication materials.
Deel	Global HR & Payroll	USA , 150+ countries	Uses 'Deel IQ' (CHATGPT integrated with a legal database) to instantly screen for multi-jurisdictional regulatory compliance and labor laws.
Brex	B2B FinTech	USA, global clients	Uses multi-agent systems to autonomously manage client onboarding and cross-border operational risk screening.
Qonto	B2B Neo banking	France, Germany, Italy, Spain	Employs 'Germi' for cross-jurisdictional AML (Anti-Money Laundering) compliance and 'Tolki' for rapid language localization.
Einride	Autonomous Freight	Sweden, USA, Europe	Operates 'Einride Saga OS' to autonomously manage and synchronize cross-border freight logistics and delivery.

Table 3: Overview of Secondary Findings

The document findings of these enterprise-level firms revealed three primary ways these companies use AI in their international operations.

4.1.1 Automating Compliance and Customer Onboarding

The most prominent pattern identified across the secondary cases was the delegation of institutional uncertainty (e.g., foreign labor laws, compliance, risk assessment) to multi-agent AI architectures. Historically, achieving legal compliance in a new country required months of experiential learning, local legal counsel, and trial-and-error. The analyzed documents indicate that frontier firms now bypass this gradual process. For instance, Deel uses "Deel IQ" (a CHATGPT architecture paired with a proprietary database) to instantly resolve cross-border labor queries without localized human research (Deel, 2023; Deel, 2025). Similarly, Brex has deployed multi-agent systems to automate global customer onboarding (Morais, 2025; Morais, 2026), and Qonto uses automated Anti-Money Laundering (AML) architectures to screen multi-jurisdictional applicants centrally (ComplyAdvantage, 2024). By centralizing these tasks algorithmically, these firms effectively scale their international commitment without proportionally scaling their human compliance staff.

4.1.2 Translation, Localization, and Logistics

The secondary data also revealed the use of AI to erase linguistic and psychic distance at unprecedented speeds. Both Alan (Dust, 2025a; O'Brien, 2025) and Qonto (Dust, 2025b) utilize dedicated localization agents (such as Qonto’s "Tolki" and Alan's Translation Agent) to autonomously translate and culturally adapt customer-facing content across multiple European jurisdictions. In physical logistics, Einride demonstrated the extreme frontier of this speed, executing the world’s first autonomous cross-border freight delivery between Sweden and Norway, with its proprietary AI operating system simultaneously handling navigation and customs clearance (Quilty-Harper, 2025; Einride, 2025).

4.1.3 Manual Escalation and Human Oversight

Crucially, despite the massive scale of AI delegation, the document analysis revealed that none of these mature frontier firms operate without strict human oversight. At Brex, AI agents act as first responders, while exceptions and escalations are routed to human teams (Morais, 2025). At Deel, the AI does not independently generate legal advice; it merely synthesizes a database strictly curated and validated by knowledge base curated and validated by Deel's global network of local HR experts and lawyers (Deel, 2023). Even at Alan, AI-translated drafts are presented to human staff members for final strategic review (Dust, 2025c). This indicates the AI manages the data speed and magnitude, but human architectural judgment retains ultimate authority.

4.1.4 Cross-Case Summary

Collectively, the summary of these secondary cases reveals a shift in how hyper-growth organizations operationalize international expansion. Rather than relying solely on gradual human experiential learning, these firms delegate specific cross-border friction points to AI agents. The data illustrates three distinct operational functions where algorithmic execution has heavily augmented traditional human effort, thereby establishing a clear baseline of modern AI adoption.

Company	Primary AI Operational Task	Specific AI System / Architecture	Reported Human Oversight Workflow
Deel	Automating cross-border labor queries and regulatory compliance.	"Deel IQ" (CHATGPT integrated with a proprietary legal database).	AI synthesizes data; database is strictly curated and validated by human HR experts & lawyers.
Brex	Automating global customer onboarding and operational risk assessment.	Proprietary Multi-Agent Systems.	AI acts as "Level 1" first responder; complex edge-cases are escalated to "Level 2" human staff.
Qonto	Executing multi-jurisdictional AML screening and language localization.	"Germi" (Compliance) and "Tolki" (Localization).	AI scales data processing; central human compliance and localization teams retain final authority.

Alan	Rapidly translating and culturally adapting cross-border communication.	Dedicated Translation and Analytics Agents.	AI generates initial localized drafts; human staff conduct final strategic review before publication.
Einride	Synchronizing cross-border autonomous freight logistics and customs clearance.	"Einride Saga OS" (Proprietary AI Operating System).	AI manages simultaneous navigation and customs; governed by human logistical monitoring.

Table 4: Cross-Case Synthesis of Secondary Data

First, regulatory tasks are managed by systematizing compliance through sophisticated, human-in-the-loop AI architectures. Cases such as Deel, Qonto, and Brex demonstrate how agentic systems are deployed to rapidly map multi-jurisdictional legal frameworks and screen for compliance. By deploying AI to process complex foreign regulations, these firms transform a traditionally slow, manual research process into an instant algorithmic query. However, across all these mature scale-ups, strict human governance remains mandatory: while AI maps the regulations at scale, human legal and compliance teams retain final operational authority.

Second, operational and informational tasks are radically accelerated to achieve simultaneous cross-border synchronization. Companies like Alan and Einride utilize AI agents to instantly query massive internal datasets and autonomously manage complex physical and digital logistics. These systems allow firms to process market data and adapt to foreign conditions at a speed that completely bypasses traditional manual delays, proving that algorithmic execution is being used as a direct substitute for human data processing.

Finally, localization tasks are scaled through agents that instantly translate, tailor, and culturally adapt communication materials. By reducing the manual labor traditionally required for cross-border messaging (as seen in Alan and Qonto), AI enables these firms to project a localized digital presence instantly, without requiring a physical footprint or localized hiring in the target country.

Synthesizing these secondary findings establishes the exact operational baseline against which the primary early-stage founders were evaluated in Phase 2. The secondary cases prove that well-funded scale-ups successfully use AI to resolve informational bottlenecks and regulatory barriers.

However, they also reveal a structural operational boundary: none of these enterprises successfully automated deep, human-to-human relationship building. This operational divide, between the data tasks an algorithm can efficiently execute and the final decisions a human must ultimately govern, creates the precise comparative lens for the primary data. Phase 2 will use this baseline to evaluate whether early-stage, resource-constrained founders replicate these enterprise-grade boundaries, or if their severe lack of human capital forces them to delegate even more extreme levels of autonomy to AI.

4.2 Phase 2: Primary Qualitative Findings

While the secondary cases demonstrate what is technologically possible at scale, the primary findings reveal the ground-level realities, strategic trade-offs, and operational friction experienced by resource-constrained startups actively integrating agentic workflows into their cross-border expansion strategies. To provide comparative depth, internal operational insights from the primary expert benchmark interview with Deel are integrated throughout. Following the abductive research design, the empirical data are structured around three themes that directly address the core research questions: Operationalizing Market Entry via Agentic Workflows, Navigating Algorithmic Trust and the Augmentation Imperative, and Re-evaluating Experiential Learning and Network Embeddedness. To contextualize the primary data presented in this chapter, Table 2 in Section 3.4.2 details the participants interviewed for this study. References to these participants throughout the findings correspond directly to this primary dataset.

4.2.1 Theme 1: Operationalizing Market Entry via Agentic Workflows

The primary data revealed that early-stage founders use agentic workflows not just as administrative tools, but as mechanisms to accelerate foreign market entry.

However, their execution is different from the enterprise cases. The representative from Deel UK detailed the deployment of proprietary, autonomous AI agents to manage sophisticated compliance mapping and contract generation across more than 150 international jurisdictions. In contrast to early-stage firms utilizing ad-hoc consumer models, Deel integrates AI directly into operational pipelines to systematically draft binding legal documentation. The representative outlined this capability:

> *"We use autonomous AI agents to handle compliance mapping... contract generation, and even operational workflows. It helps us with our local laws to just analyze things like local labor laws in real time as you're drafting a contract." - Deel UK*

For several startups, this operationalization is demonstrated as automated market intelligence.

During the interview, the co-founder of ZeroPoint Technologies, a deep-tech startup, delineated their usage of specialized AI agents to execute competitor analysis and parse dense, highly technical academic literature. Because the firm's core technology involves data compression, the founder detailed how agents are explicitly deployed to filter out irrelevant entities utilizing industry buzzwords. Emphasizing the operational acceleration provided by these tools, the founder contrasted the AI's efficiency directly with human subject-matter experts:

> *"We had to employ a special agent in order to go through the mathematical explanations... Then we had one of our experts here in the company that did exactly the same thing... One took a few hours, maybe the other took a week." - ZeroPoint Technologies*

The founder also described how agents dissolve language-embedded barriers in foreign market research, converting otherwise inaccessible foreign-language sources into usable intelligence:

> *"It helped us navigate into this maze... when you look, everything is in Chinese, but when the agent actually brings you all the information in English... you can say, this is the direction I want to follow". - ZeroPoint Technologies*

Similarly, the co-founder of Sourcicle reported deploying AI agents to conduct comprehensive mappings of their competitor landscape, characterizing this transition as a deliberate move away from manual administrative overhead. The founder stated that they simply "won't do [it] manually" anymore, relying instead on agents to ingest and consolidate raw customer conversations into structured intelligence. Additionally, the interviewee reported using AI to navigate complex institutional barriers, mapping the company's operational parameters to adhere to stringent European regulatory frameworks, specifically GDPR and the AI Act.

The founder also reported that AI-mediated market intelligence surfaced clear cross-regional differences in buyer expectations around AI and human contact:

> *"We can see when we talk to customers in the US and in India or in Asia in general. We can see a wish to have way more AI and way less human touch, which wouldn't be compliant with the EU regulations". - Sourcicle*

The founder of Neurawave reported using the AI model Grok to execute initial market scanning, which ultimately redirected their expansion strategy. By prompting the model to identify regions with simpler regulatory frameworks, the company bypassed European markets to launch early in Chile. Furthermore, the startup used AI to algorithmically localize its marketing launch in South America without recruiting local personnel or possessing Spanish language proficiency. As the founder stated: *"We can communicate in Spanish without knowing Spanish... I don't think we would have take this step to launch [without AI]."*

In addition, the founder detailed the use of autonomous agents to continuously monitor foreign legislation:

> *"We paid the American consulting firm for the certification, all in all, about 1000 US dollar... It took about eight weeks to get certification in Chile."- Neurawave*

Beyond market intelligence, other founders are operationalizing AI to fully automate their Go-To-Market (GTM) execution. The co-founder of Raal described an operational strategy that relies *"100% on technology"* to execute top-of-funnel market entry. In order to bypass the need for a sales team, the company deploys AI agents to scrape prospective leads and execute highly personalized cold outreach at a massive volume. Beyond lead generation, the founder noted that AI is used to draft foundational legal documents and execute product design. According to the founder, developmental tasks that previously required months to complete now require *"basically five minutes."*

The co-founder of Amass reported the ongoing development of an entirely automated Go-To-Market infrastructure designed to execute comprehensive business development workflows. The startup uses AI to identify Ideal Customer Profiles, orchestrate targeted outreach, execute user onboarding, and manage customer support. This reliance on AI has caused a shift in internal organizational dynamics; the founder reported encouraging employees to bypass executive bottlenecks in favor of AI-generated directives. As the founder stated:

> *"Gone are the days where you had to ask the CEO for permission because I knew better. Now there is someone who is much better and much more knowledgeable than I am... just go do."- Amass*

The firm also reported recently replacing their human Head of Design with AI workflows.

Reflecting on what this shift changes, the founder clarified that AI alters the mode of acquiring market knowledge rather than removing the need for it:

"It has changed the way we learn about foreign experience. The need has always been there. Now it's accessible. So I think now it's just a question of how you work with that data." - Amass

4.2.2 Theme 2: Navigating Algorithmic Trust and the Augmentation Imperative

The representative from Deel UK reported that algorithmic trust is systematically governed via a formal "Risk Appetite Framework." Within this structure, low-risk administrative actions are fully automated, whereas high-stakes decisions remain strictly gated by human oversight. The representative articulated that adopting AI at an enterprise scale fundamentally alters the nature of corporate risk:

"Risk management is shifted from just basic risk management to I would say technology driven... you're not dealing with the normal risk of humans, this is the risk of technology... So there is of course a shift from execution to governance and system design."- Deel UK

However, there's a divide between early-stage startups regarding risk tolerance & verification. One group of founders strictly adheres to the augmentation imperative, treating AI as an assistant that requires rigorous human-in-the-loop verification.

For instance, Sourcicle reported managing algorithmic trust through the implementation of a strict, binary delegation framework:

"Everything administrative to AI, everything executive to humans." - Sourcicle

The co-founder delineated a system designed with inherent limitations, ensuring that the AI must pause to request human confirmation prior to executing final actions, as the technology *"never takes responsibility"*. To further ensure data integrity, the startup conducts manual quality assurance by routinely requiring the AI models to cite their original data sources.

Similarly, ZeroPoint considered AI as functioning similarly to a *"second or third engineer"*, they reported maintaining stringent verification protocols. When utilizing AI to investigate complex foreign markets, such as China, the firm explicitly retains local human agents to audit the AI's findings and mitigate hallucination risks. The CEO stated:

> *"You cannot tell a local agent to say that, 'Okay, now you need to verify, was this really good direction or was it a hallucination that came out of the agent?' ...We are going to do our due diligence." - ZeroPoint Technologies*

Consistent with this, the founder framed the role of AI as supportive rather than decisional:

> *"We see AI more like a copilot assistant. Not someone that is a decision maker… definitely not a decision maker, but a helper." - ZeroPoint Technologies*

Furthermore, the co-founder identified the necessary provisioning of data access, allowing AI to read internal emails and proprietary ideas, as the primary vulnerability and "big leap of faith" associated with agentic deployment.

On the other hand, a second group of founders showed a conscious disregard for formalized risk management, electing to tolerate a higher margin of AI inaccuracy in exchange for execution speed.

The founder of Neurawave described a distinct operational trade-off, electing to tolerate a higher margin of AI inaccuracy in exchange for execution speed. From the founder's perspective, the existential threat of capital depletion outweighs the risk of algorithmic errors:

> *"As a startup, you need to have speed because you have a certain amount of money that will run out if you don't have any product to sell... We want to have a positive cash flow early on."- Neurawave*

In addition, co-founder of Raal expressed a conscious disregard for formalized risk management protocols, attributing this posture to the firm's nascent operational stage. Prioritizing output volume over precise accuracy, the founder confirmed that they do not rigorously verify the AI-generated personalized outreach materials prior to distribution. When questioned regarding this lack of verification, the co-founder stated:

> *"At this time, I actually don't care. Is it true or not? I'm just pushing out and I'm pushing it out in volume."- Raal*

The founder explicitly categorized risk management as a concern reserved for a *"later stage."*

Also, the co-founder of Amass detailed the implementation of an iterative validation protocol described as *"nail it, then scale it."* Before an automated workflow is granted autonomy, the team conducts manual dry runs to monitor the AI's performance. Despite this procedural safeguard, the founder stated:

> *"I would rather do and ask for forgiveness than not do... it's better that we do too many things where some fail."- Amass*

4.2.3 Theme 3: Re-evaluating Experiential Learning and Network Embeddedness

The final theme addresses how AI integration impacts the traditional requirements of experiential learning and localized network building. Across all interviews, a unanimous consensus emerged: while AI effectively commoditizes baseline market intelligence, it is fundamentally incapable of replicating the human empathy required to close B2B enterprise deals.

The representative from Deel UK reported that the deployment of agentic AI has successfully decoupled geographic market expansion from regional human headcount:

> *"You don't need somebody to do that summary anymore... So we will not need our whole operations, maybe a legal, operational, international operation team or 100 people, maybe just ten people." - Deel UK*

However, they stressed that AI does not eliminate experiential learning, it simply *"raises the baseline from which the teams learn a new market"*. Finally, they confirmed the persistence of relational uncertainty, noting that high-stakes enterprise negotiations remain reliant on human execution, as institutional trust is ultimately *"built on a person-to-person case"*.

This perspective was corroborated by the early-stage founders, who acknowledged the double-edged nature of algorithmic speed. The co-founder of ZeroPoint Technologies expressed explicit apprehension regarding the diminishment of experiential learning. While acknowledging the operational efficiency gained by consuming AI-generated market summaries, the founder identified the penalties of deep, manual discovery as a detrimental consequence:

> *"If I had done the manual work on my own, I would definitely have gained some things that I'm going to lose now, and I'm realizing it now because when you read a summary... I'm not going to drill down all the details."- ZeroPoint Technologies*

In the context of network embeddedness, the founder stated that AI *"cannot automate the business development"* and remains incapable of replicating the nuanced human critique necessary to formalize international partnerships.

The founder of Neurawave reported using agentic workflows to actively circumvent the traditional paradigm of incremental geographic expansion. Operating with a core team of five individuals, the firm bypassed neighboring European markets entirely, deploying AI to directly penetrate the South American market. However, despite this algorithmic acceleration, the founder reported an ongoing reliance on personalized, human-to-human correspondence to cultivate initial social proof and foster trust with their early user base.

Likewise, the co-founder of Sourcicle reported that the integration of AI has not diminished the fundamental necessity of relational embeddedness. Although the startup uses technology to streamline network analysis and automate post-demonstration communications, the founder stressed that closing B2B transactions remains deeply dependent on human intervention. The founder described the division of labour directly, reserving human presence for the trust-building demo while delegating follow-up to AI:

> *"We do have human touch points. And the automation would be the follow ups. We do a demo that we do, but then following up on this demo, AI can do". - Sourcicle*

Empathy, contextual understanding, and face-to-face interactions were highlighted as non-negotiable elements for establishing commercial trust.

The co-founder of Raal described leveraging AI to deliberately constrain corporate expansion, maintaining a total headcount of fewer than 20 employees. However, despite managing cross-border operations with a micro-team of four, the founder acknowledged a stark limitation regarding algorithmic sales. To successfully close enterprise-level deals, a physical human presence remains mandatory:

> *"If you want to go into foreign market as fast as possible, then a local presence is still needed. So you need some local salesmen."- Raal*

The co-founder of Amass mentioned the perspective that widespread access to AI has effectively commoditized basic market intelligence:

> *"Intelligence is now becoming somewhat obsolete. It's becoming a common denominator across all organizations."- Amass*

Consequently, he argued that establishing robust network embeddedness is more critical than ever to differentiate the firm. Furthermore, despite operating a globally accessible digital product, the firm still must physically embed its personnel into highly localized scientific clusters (such as Basel or Singapore), reporting that the

life sciences sector remains heavily reliant on the trust cultivated at in-person conferences and seminars.

5 Analysis

This chapter interprets the empirical material presented in Chapter 4 against the theoretical framework developed in Chapter 2. The analysis follows the same three-theme structure used to present the findings: operationalizing market entry via agentic workflows, navigating algorithmic trust and the augmentation imperative, and re-evaluating experiential learning and network embeddedness. A fourth, shorter section addresses an unexpected organizational finding that falls outside the internationalization frameworks but warrants discussion. Within each theme, the analysis first restates what prior research predicted, then presents what the empirical data showed, and finally assesses whether the findings confirm, extend, or contradict the established theory.

5.1 Analysis Theme 1: Operationalizing Market Entry via Agentic Workflows

The classical Uppsala model describes internationalization as a slow, incremental process driven by the gradual accumulation of experiential knowledge, in which firms physically enter markets to reduce the uncertainty associated with the liability of foreignness (Johanson and Vahlne, 1977). The model introduces a time dimension where market knowledge is experiential and will only be built through the direct experience of the market and will be hard to codify and transfer without lived experience (Johanson and Vahlne, 2009; De Clercq et al., 2012). This leads to the prediction that resource-constrained founders with no prior international experience lack knowledge, thus limiting their expansion options. Later works reinforce this expectation with the assumption that managerial capacity is "typically the bottleneck in achieving growth" (Vahlne and Johanson, 2017, p. 1090), because human decision-makers operate under partial ignorance and must learn sequentially, one step at a time. Small founding teams are therefore expected to face restrictions in their international ambitions. Johanson and Johanson (2021) reinforces this prediction further by distinguishing sequential synchronization, in

which activities follow a chronological order, from simultaneous synchronization, in which multiple activities are coordinated across the network at once.

In parallel, the industry 5.0 and agentic AI literature predicts that AI can autonomously track compliance and decode emerging legislation through RegTech applications (Espinal De Aza, 2025), reduce trial and error learning in new legal environments (Moharrak et al., 2024), identify leads and accelerate localization (Menzies et al., 2024), and thereby substitute prolonged experiential market testing (Buckley et al., 2026).
The international new venture (INV) theory places the competitive advantage of early-internationalizing firms in the dynamism of their founding team, defined as their ability to sense, seize and reconfigure their resources to exploit international market opportunities (Teece et al., 1997; Oviatt and McDougall, 1994). Weerawardena et al. (2007) take this a step further by highlighting the experiential knowledge base of the founder from which sensing capability is drawn. This experiential-knowledge baseline predicts that small, inexperienced teams face a limit on how fast and how far they can expand. It is this expectation that the findings below challenge the most.

The empirical data show founders handing each of the three uncertainty types identified by Vahlne and Johanson (2020) to agentic workflows. Institutional uncertainty was delegated across both samples. The Phase 1 enterprises used systems such as Deel IQ and Qonto's compliance screening to handle cross-border rules, while in the primary data (Deel, 2023; ComplyAdvantage, 2024). Meanwhile in Phase 2, Deel UK used agents to analyse local labour laws *"in real time as you're drafting a contract",* Sourcicle mapped its operations against GDPR and the AI Act, and Neurawave used agents to monitor foreign legislation continuously. This confirms the RegTech literature (Espinal De Aza, 2025; Moharrak et al., 2024) and supports the Uppsala point that institutional uncertainty, which once took months of experiential legal learning, can be compressed.

Informational uncertainty was delegated in the same way. ZeroPoint used a specialised agent to work through dense technical literature and to convert

otherwise inaccessible foreign-language research into usable intelligence, Sourcicle handed competitor mapping to AI, and Raal and Amass automated lead generation and Ideal Customer Profile work as mentioned in Section 4.2.1. These findings confirm that AI shortens the long process of experiential market testing (Menzies et al., 2024; Buckley et al., 2026) and can act as a market-sensing dynamic capability (Weerawardena et al., 2007).

One qualification is needed here, and it is missing from the existing literature. When Deel IQ processes regulatory databases across more than 150 countries, or ZeroPoint's agent filters real competitors out of large volumes of foreign-language research, the agent is not taking over a task a human used to do. For a small team, that work was never done by a human at all, as it was simply out of reach at this scale and cost. So, the agent is not replacing something the team used to do, it is giving the team an ability it never had. This is better described as addition than substitution, and the difference matters because the pattern shows up in both phases. What the early-stage founders do in an exploratory way, the Phase 1 enterprises (Alan, Deel, Brex, Qonto, Einride) already run as standing infrastructure. That is what lets the study treat the compression of informational and institutional uncertainty as a systematic pattern, not just as a feature of one firm.

AI also reduced psychic distance by handling localization. Neurawave marketed in Spanish without knowing Spanish, which confirms that AI can bridge language barriers (Hawkins and Calder, 2025a). In every case, though, this was one-way communication as content was pushed out to the market, not back-and-forth relationship-building.

Taken together, this cross-case pattern is what this study calls Synthetic Experiential Learning, which means AI standing in for the informational and institutional side of the experiential knowledge that Uppsala theory treats as irreducibly slow to build. The idea rests on Johanson and Vahlne's (2009) split between objective knowledge, which is codifiable and transferable, and experiential knowledge, which is tacit and context-dependent. Earlier digital tools lowered the cost of acquiring human knowledge but AI agents go further and remove the need

for a human in that acquisition for certain task categories (Buckley et al., 2026; Hosseini and Seilani, 2025). This does not mean the need for market knowledge disappears. As the Amass founder noted, the need has always been there and only becomes more accessible. What changes is how founders get the knowledge, not whether they need it. The theoretical implication for INV theory is specific. These cases suggest that the sensing function of dynamic capability, which prior work placed only in the founding team's experience (Weerawardena et al., 2007; Reddy et al., 2025), doesn't need to rest on founding-team experience alone, and can be partly carried out by algorithmic systems. This is not a removal of the experiential requirement but a structural extension of where dynamic capability can come from, from the human founding team alone toward the human-AI setup described by the Industry 5.0 paradigm (Borchardt et al., 2022).

Two findings run directly against the established theory. First, Neurawave used AI not just to follow regulation but to choose its entry market. By prompting a model to find regions with simpler rules, it skipped Europe and launched in Chile. The traditional model predicts that firms enter nearby familiar markets first, in order of psychic distance (Johanson and Vahlne, 1977). Neurawave contradicts that because the market was chosen by how light its regulation was, not by how close or familiar it was.

Second, the speed of data tasks contradicts the managerial-capacity bottleneck (Vahlne and Johanson, 2017, p. 1090). ZeroPoint reported that work that used to take a human expert a week now takes an agent a few hours, and Raal said product design that once took months now takes minutes. For data-heavy work, AI removes the human limit that the theory treats as the binding constraint on growth. Relatedly, Amass's automated go-to-market setup and Raal's high-volume outreach achieve simultaneous rather than sequential synchronization (Johanson and Johanson, 2021), and Neurawave's continuous monitoring of legislation is the proactive version of synchronization those authors describe. These findings show that AI raises network entry speed, and extends the framework by showing that

simultaneity is reachable by small, resource-constrained teams, not only by firms with significant knowledge and capacity, as the original model assumes.

These gains fit the idea of AI as a "cognitive substrate" or co-pilot that extends bounded rationality, letting founders process data at a scale no individual could manage alone (Chinnaraju, 2025; Macleod and Pugalia, 2026). ZeroPoint's work through technical literature is a clear example. At the level of staffing, the data confirm that AI lets small firms outsource complex analysis and grow without increasing headcount (Hosseini and Seilani, 2025). Deel UK expected an international operations function of around a hundred people to shrink to roughly ten, with the human role reduced to validation. Neurawave covered the South American market with a team of five, and Raal ran cross-border operations with a team of four. This decoupling of reach from headcount further contradicts the managerial-capacity bottleneck (Vahlne and Johanson, 2017).

Finally, the data support INV and Born Global theory while qualifying it. Madsen and Servais (1997) treat the founder's prior international experience and existing networks as preconditions for born-global speed, yet Neurawave entered South America with no regional experience, no local network, and no Spanish, and reported that without AI it would not have taken the step to launch. This suggests an extension of the framework, in which AI stands in for the founder's pre-existing human capital at the informational and institutional layers, supporting the idea of AI as an "algorithmic co-founder" that supplies rapid market-sensing (Buckley et al., 2026). The substitution is partial, though, and limited to those layers.

Taken together, these findings overturn the prediction set out at the start of this theme. The small, inexperienced teams that the experiential-knowledge baseline expects to be limited in both speed and reach (Johanson and Vahlne, 1977; Vahlne and Johanson, 2017) instead expanded quickly and entered distant markets, because in these cases, AI supplied the knowledge inputs the baseline assumed only direct experience could provide. The bottleneck the theory predicts is dissolved at the informational and institutional layers.

5.2 Analysis Theme 2: Navigating Algorithmic Trust and the Augmentation Imperative

The theoretical argument posits two connected points with regard to how founders should manage the work they hand to AI. The Industry 5.0 paradigm predicts a shift toward human-centricity (Borchardt et al., 2022) and supports an "augmentation imperative" under which AI works best when it handles high-volume data processing while human managers retain control over creative thinking, cultural interpretation, and cross-border judgment (Macleod and Pugalia, 2026). Using AI as a complete substitute for human experiential knowledge is therefore considered insufficient, and a hybrid model in which agents support rather than replace human judgment is preferred (Brendl and Sweldens, 2023). Although Cai et al. (2025) find that generative AI can replace some of the experience, financing, and managerial inputs that hold back new firms, but this study argues that under relational uncertainty and high stakes entry, AI's role narrows to that of a supporting co-founder. The literature also expects the rise of "System Trust" or "Technological Trust", while AI cannot replicate human empathy, but well-built trust systems can still project reliability and security (Gaikwad, 2025). However, relying too heavily on automated communication, can miss cultural nuance and damage trust (Ahmad, 2025). Vahlne and Johanson (2020) point out the emotional barriers, intuitive biases and natural aversion to loss of resources that human managers face in VUCA environments, which is precisely where AI is supposed to help.

The secondary data confirm the augmentation imperative at enterprise scale. None of the five mature scale-ups operated without strict human oversight. Brex moved hard cases from "Level 1" AI responders up to "Level 2" human staff; Deel's AI drew on a knowledge base built and maintained by its global network of local HR experts and lawyers; Alan sent AI-translated drafts to human staff for final review; Qonto used AI to streamline multi-market AML screening while its compliance analysts kept authority over decisions; and Einride's autonomous freight operations stayed under human logistical monitoring (Morais, 2025; Deel, 2023; Dust, 2025c; ComplyAdvantage, 2024; Einride, 2025). This confirms the hybrid, human-in-the-loop model (Macleod and Pugalia, 2026; Brendl and Sweldens, 2023). Across all

enterprises in Phase 1, the same features appear such as clear risk rules, precision measurement protocols, and tiered human escalation (Morais, 2025; Deel, 2023; Dust, 2025c; ComplyAdvantage, 2024; Einride, 2025).

The primary data, however, show something different. Instead of settling on the single model the augmentation imperative describes, early-stage founders spread across a range of approaches to human–AI oversight that are clearly different from one another, and sometimes in tension. Looking across the Phase 2 data, this spread is not a sign of immaturity to be "fixed", nor a single correct founder model that early-stage firms are failing to reach. Each approach is a sensible response to the firm's current conditions, and may shift as those conditions change. The postures also vary on two things at once. First, how much human checking is applied, and second, why it is applied, sometimes because the stakes are high, or sometimes because the AI cannot reach the knowledge the task needs. For that reason, they are best read as five distinct postures rather than points on one straight line. The five postures found across the primary cases are mapped below.

Governance Posture	Core Logic	Relationship to Augmentation Imperative	Key Competency
Binary Delegation	Administrative → AI; executive → human; confirmation gate on all executive actions	Fully consistent with the imperative (Macleod and Pugalia, 2026; Brendl and Sweldens, 2023) applied as a clear rule.	Algorithmic trust calibration; risk appetite governance
Iterative Scaling	Manual test runs; human checks first, then the task is handed over to AI.	Conditionally consistent, the imperative is earned through proven performance, not assumed (Brendl and Sweldens, 2023). assumed.	Architectural judgment; layered verification design
Layered Trust	AI gives a first answer; a local human expert checks it againstlocal knowledge and screens for errors.	Extended beyond the imperative, adds the tacit-knowledge requirement (De Clercq et al., 2012).	Layered verification design; architectural judgment
Speed-Tolerant Verification	An explicit accuracy threshold (around 80–90%) is accepted and corrected through	Partially consistent, imperative applied selectively, based on resource availability.	Risk appetite governance under capital constraint

Governance Posture	Core Logic	Relationship to Augmentation Imperative	Key Competency
	iteration; limited cash makes speed matter more than precision.		
Speed Maximalism	No checking; the cost of one error is smaller than the value of sending more output.	Conditionally broken, reasonable when each error costs almost nothing, but incompatible with the imperative in regulated markets (Macleod and Pugalia, 2026).	Risk-appetite governance; awareness of deferred-governance risk.

Table 5: AI Governance Postures, Their Logic, and Relationship to the Augmentation Imparative

The most structured posture is binary delegation. Every routine, data-based task goes to AI; every decision with strategic or relational weight is made by a human, and at minimum watched over by one. Sourcicle stated the rule simply as administrative work to AI, executive decisions to humans, and built a confirmation gate into every executive output. This is the closest match to the augmentation imperative in the Industry 5.0 literature (Macleod and Pugalia, 2026; Brendl and Sweldens, 2023) as machines run the high-volume, low-risk work, while high-impact decisions still need a human to sign off. Seeing it in the early-stage data confirms that the imperative can work without enterprise-scale systems. In firms with few resources, this posture is chosen not only because of maturity but because of what an AI mistake would cost in a regulated, compliance-heavy market. The logic is conditional, how much human oversight is applied depends on the cost of failure in that specific market, not on maturity alone.

The second posture, "nail it, then scale it", as mentioned by Amass, treats human checking as a temporary stage. A workflow is first run by hand, checked in a controlled setting, and only then handed to AI to run on its own. This shows a careful attitude toward AI output: once a workflow proves reliable, it is allowed to run freely. It fits Brendl and Sweldens' (2023) view of human–AI work as an active system you design, not a fixed hand-off, and it is built to move tasks from "needs checking" to "runs on its own" over time. Founders who use it are not just following the imperative as given; they are building the structures that let it last. This shows that layered verification design is a managerial skill in its own right, not a limitation.

A third posture, layered trust, appears when founders enter unclear, high-uncertainty markets. Here the AI's output is a strong first guess, not a final answer, and a human retains final authority over the decision. ZeroPoint was explicit about this, retaining human due diligence over the agent's findings and describing AI as a helper rather than a decision maker. The human is kept on to supply the local, hands-on knowledge the model cannot reach. This two-level setup reflects the split between explicit and tacit knowledge at the heart of Uppsala theory. De Clercq et al. (2012) note that some knowledge cannot be easily written down and cannot be reproduced without first-hand experience. So this posture is not a style choice but a response to a real limit of the AI layer. Tacit, locally embedded knowledge sits beyond the model's reach, and a human must verify against it.

A fourth posture, speed-tolerant verification, still keeps a standard but accepts a higher error rate against it. Neurawave named an explicit accuracy threshold of around 80–90% and corrected for it through iteration, accepting that margin because the firm's bigger threat was running out of money before it had a product to sell. Unlike the postures above, the AI's output is not fully checked, as well as unlike the posture below, a rough quality standard is still in place. The imperative is applied in part, scaled to how much is at stake. This shows the imperative bending under resource pressure rather than breaking as the founder keeps a standard but lowers it to match what the firm can afford.

The last posture, speed maximalism, skips checking entirely, under very tight resources and a very low cost per error, Raal pushed outreach out in volume without much verification. The reasoning is simple. When the alternative is producing nothing at all, any output beats none, and when one mistake costs little compared with the total value of what is sent, some founders reasonably choose to delegate without checking. This is the posture that most directly challenges the idea of the augmentation imperative as a universal rule. The study reads speed maximalism not as a failure of governance but as a sensible response to a particular cost structure, in line with Vahlne and Johanson's (2020) account of internationalisation under extreme VUCA conditions, where the load of managing uncertainty is more than a

person can carry. The augmentation-imperative literature quietly assumes that managers are both willing and able to set up strong human-in-the-loop oversight (Macleod and Pugalia, 2026). The evidence shows this assumption fails under extreme resource scarcity, so the imperative should be treated as conditional.

Put together, these postures show that the augmentation applies only as far as the stakes of a decision require, and is shaped by the sector's risk level, the stakes of the specific deal, and how many resources the firm has. The study's main theoretical contribution in Theme 2 is to propose a shift from a fixed rule to a stake-sensitive one. It also adds two governance risks the literature does not capture well. The first is deferred-governance risk, the danger of putting governance off to a "later stage" that may never arrive under constant money pressure, a posture Raal stated explicitly. The second is the access–leverage trade-off as agentic systems need access to a firm's internal data and intellectual property, and that access is the price of the leverage they provide. Gaikwad (2025) shows that trust systems can project reliability, but the access–leverage trade-off is a point the technological-trust literature does not stress. It came straight out of the primary data, where ZeroPoint described the access an agent needs to internal emails, messages, and ideas as the biggest risk it has to take.

Looking across these postures, a set of managerial skills appears that neither Uppsala nor INV theory currently treats as internationalization skills. Read against the theory, four stand out in practice: algorithmic trust calibration (knowing when to trust AI output and when to check it), risk-appetite governance (setting clear lines between what AI decides and what humans decide), architectural judgment (designing and adjusting AI workflows as markets and the firm's learning change), and layered verification design (building light human-check points into AI processes without losing the speed that delegation brings). Together these are a class of managerial skills specific to working with AI, and they give a more detailed picture of what founders need to internationalise in an AI-first way than the current Industry 5.0 literature offers.

5.3 Analysis Theme 3: Re-evaluating Experiential Learning and Network Embeddedness

According to the network approach to internationalization by Johanson and Vahlne (2009) and by Vahlne and Bhatti (2019), the ability to overcome the liability of outsidership matters more than the ability to overcome the liability of foreignness. That is because firms struggle due to the fact that they lack a position in the relevant business network and have no established trust with local actors. Trust, commitment and legitimacy is built on an ongoing and processual human to human interaction and is not simply created by informational competence (Johanson and Vahlne, 2009; Bhatti et al., 2020). Because experiential knowledge is tacit and tied to context, it cannot be fully written down or copied without lived experience (De Clercq et al., 2012; Schweizer et al., 2010), and relational learning is what lets a firm pick up the unwritten rules and informal practices that codified data never captures (Bhatti et al., 2020). Building deep trust takes sequential synchronization, meaning the step-by-step, back-and-forth human contact needed to work through a VUCA environment (Johanson and Johanson, 2021; Vahlne and Johanson, 2020). Due to the fact that trust and legitimacy are socially constructed, digital connection does not by itself create relational embeddedness (Ojala et al., 2018; Vahlne, 2020). From this the framework predicts a paradox that AI may win early partnerships through the trusted efficiency of its agents (simultaneous synchronization), but overcoming deep relational outsidership pushes the burden of trust back onto the human manager's ability to synchronize sequentially (Vahlne and Bhatti, 2019; Gaikwad, 2025). The empirical findings both challenge and confirm this prediction. They challenge it on the informational side of outsidership and confirming it on the relational side.

On the informational side, the data show founders handing a whole set of tasks to AI before any real relationship-building begins, which is what this study calls the pre-relational intelligence layer. These are the activities needed to find, understand, and approach foreign partners such as competitor profiling, regulatory mapping, localising outreach, identifying leads, and generating first contact. Sourcicle

delegated competitor mapping outright, and Raal used AI to read cultural sales norms before any human step. Work that once took months now takes days or hours. This is not experimental as the Phase 1 enterprises run the same pre-relational intelligence as standing infrastructure: Qonto's localization agent across four European markets and its compliance screener, Alan's translation and analytics agents, and Brex's onboarding system (Morais, 2026; Dust, 2025a; Dust, 2025b; Dust, 2025c; ComplyAdvantage, 2024). The implication for Uppsala theory is specific. The informational part of the liability of outsidership, the lack of knowledge needed to act in a market, is substantially eased by this layer. This speaks directly to the research agenda Buckley et al. (2026) set out for international business in the age of agentic AI.

On the relational side, every primary case marks a clear threshold where AI stops being enough and human presence becomes structurally necessary. The consensus covers the same set of tasks such as closing enterprise deals, forming trust-based partnerships, gaining acceptance inside industry communities, and reading culturally embedded norms. Deel UK was explicit that institutional trust cannot be automated and rests on a person-to-person basis; ZeroPoint held that human judgment and critique cannot be replaced; Sourcicle pointed to empathy and network as things AI cannot reproduce; and Raal insisted that closing a market still needs local human presence. These findings confirm that relational uncertainty cannot be resolved by algorithms (Vahlne and Bhatti, 2019), that leaning too much on automated communication puts the relational layer at risk (Ahmad, 2025), and that the liability of outsidership persists despite algorithmic speed (Johanson and Vahlne, 2009). Crucially, the founders do not treat this as a limit of today's AI that will later be solved but they see it as a structural requirement of trust as a social process, which matches Vahlne and Bhatti's (2019) view of relationship development as a fundamentally human, micro-level undertaking. Therefore the predicted paradox confirms that founders reach simultaneous synchronization for data tasks but fall back on human sequential synchronization to close relationships. Raal is the clearest case, as it runs outreach entirely through AI yet still concludes that closing a market needs local people (Section 4.2.3), so algorithmic breadth

gives way to human, step-by-step trust-building at exactly the point the theory predicts.

Analytical synthesis of these two dimensions leads to the emergence of the concept of what this study calls the Relational AI Frontier, which is the point at which agentic tools are no longer enough and they must be backed by human relational investment to build real market embeddedness. The frontier is not static as it is different by sector, type of commercial relationship and formality of the target market. This sector-specific difference is consistent with Ahmad's (2025) study that revealed the strategic use of AI to bridge intercultural gaps depends on the level of relational intensity in the business context. In very transactional, digitally native B2B settings, AI can push pre-relational activity a long way and the frontier nearly disappears. Meanwhile, in settings that demand institutional trust, knowledge-heavy relationships, or physically embedded community norms, the frontier sits much earlier.

Sourcicle shows where the frontier falls in practice: the human is kept for the demo, the trust-conversion moment, while AI takes the volume follow-up. That is the frontier, operationalised.

The life-sciences case shows how the sector moves the frontier. Here trust is built less through one-to-one buyer relationships and more through recognition within the wider professional community, and that recognition is a social judgment about the human team's credibility and fit, what Johanson and Johanson (2021) call sequential synchronization, which is unavoidably slow. AI cannot supply it. So physical presence at recognised scientific clusters is structurally required, not just culturally preferred. Amass reported exactly this pull toward in-person conferences and seminars in the life-sciences ecosystem. The Phase 1 findings point the same way because even where AI has taken over compliance and intelligence work, the enterprises keep final authority and high-stakes relationship work in human hands (Morais, 2025; Deel, 2023; Dust, 2025b).

The frontier also moves with the buyer and the regulatory setting. Where rules actively govern human involvement in commercial AI use, as GDPR and the AI Act do in Europe, buyers expect more human touchpoints in the sales process. In digitally native, regulation-light markets the expectation flips toward more AI autonomy and less human friction. Sourcicle observed this directly when comparing customers in the US and Asia, who wanted more AI and less human contact, with what European rules require. So the frontier depends not only on the firm's sector but on the market it is entering. Espinal De Aza's (2025) work on machine-readable law explains the structural space AI can operate in, while these findings add a buyer-level expectation dynamic on top of it. This regulatory-cultural shaping of the relational threshold is not addressed in existing internationalisation theory (Johanson and Vahlne, 2009), and it sharpens the Relational AI Frontier as a construct.

The data also refine the debate over whether AI substitutes or augments human experience, by splitting it into two layers. ZeroPoint recognised that consuming AI summaries gives up the tacit understanding that manual discovery would have built. This confirms that experiential knowledge is tacit and cannot be fully codified (De Clercq et al., 2012; Schweizer et al., 2010). Yet Deel UK reported that AI does not replace experiential knowledge but raises the baseline from which teams learn a new market. Read together, these separate the output of experiential learning, which AI substitutes (the information), from the process of experiential learning, which AI does not (the slow build-up of tacit capability). This reconciles the substitution view (Cai et al., 2025) with the augmentation view (Macleod and Pugalia, 2026) where both are true, but at different layers. It also points to a risk that the existing literature does not emphasise. If founders keep relying on AI's output instead of doing the work themselves, the firm's own deeper, hands-on market knowledge can weaken over time.

Finally, the empirical data add an unexpected competitive mechanism. When every firm can get the same market insights through AI, the information advantage that big, well-funded firms once held disappears. The Amass founder described market

intelligence becoming a common denominator across organizations, which only raises the need to be more relevant. When synthetic intelligence becomes a baseline available to everyone, the differentiator becomes the high-quality, deep, well-positioned human relationships that cannot be scaled by AI. This does not contradict Uppsala and network theory, which already place relational embeddedness at the centre of internationalisation competence (Johanson and Vahlne, 2009; Vahlne and Bhatti, 2019) but it adds a mechanism. Because AI gives every firm the same information, the advantage that lasts is the human relationship, close to what Bhatti et al. (2020) call relationship learning.

The reallocation of human effort follows the same logic. Theme 1 showed that firms can expand into new markets without adding headcount. But there is a limit, the relational boundary. The human roles that stay are the ones tied to closing relationships and oversight such as Raal's local salespeople, Amass's people on the ground in industry clusters, and Deel's shift toward governance and system design. AI therefore moves human effort from execution and analysis toward relational and governance work rather than removing it evenly. The most consistent finding across both phases is the relational boundary. Neither well-funded scale-ups nor resource-constrained startups automated human-to-human enterprise relationship building.

5.4 Unexpected finding analysis

The three themes addressed how firms manage external foreign-market uncertainty and how AI changes the way founders govern delegation. One finding pushes past that scope. Themes 2 and 3 already showed the human role shifting toward governance and oversight. This finding takes the same thread one step further, into the firm's internal authority structure, something the internationalization frameworks used here do not address.

As reported in Section 4.2.1, the Amass founder described routing decisions away from executive approval and toward AI guidance and replacing a specialist human role (Head of Design) with AI workflows. The shift is a choice made by the founder, not AI taking authority on its own. In practice, however, the effect is the same

because the point of decision-making moves away from the senior human and toward the agentic system, and the make-up of the team changes with it.

This suggests that agentic AI reshapes not only where a firm's external market knowledge comes from, but also how decision authority is distributed inside the firm and which roles it keeps. The internationalization frameworks used in this study do not theorise this effect. It is therefore noted here as an emergent finding and a possible contribution to the literature.

6 Conclusions

This concluding chapter presents the principal findings of the study and provides thorough, direct answers to the research questions. It also presents the revised conceptual framework and specifies its theoretical contributions. In addtion, it draws out the managerial and societal implications of the findings for founders, investors, policymakers, and the broader knowledge economy. Finally, it identifies directions for future research that the thesis opens but cannot empirically resolve within its scope.

6.1 Answers to the Research Questions

6.1.1 Sub-Question 1

The first sub-question asked what specific market-entry processes and analytical tasks founders choose to execute using AI agents to mitigate foreign market uncertainty. There are two analytical tasks that founders choose to do with AI agents to reduce uncertainty in foreign markets, as well as two market-entry processes they choose to do with AI agents. The answer, based on the five main cases and confirmed with the Deel UK expert interview, is that founders systematically delegate tasks related to the informational and institutional phase of market entry. This is the high-volume work of gathering, processing, and structuring publicly available information about a market, its regulations, and its competitors.

In practice, founders use AI for several tasks. First, they map regulatory frameworks across countries to find viable entry markets and compliance requirements. Second, they analyze the competitive landscape and synthesise technical literature in specialist fields, where the real signal has to be separated from a lot of noise. Third, they generate leads and personalised outreach across several markets at once. Fourth, they identify Ideal Customer Profiles and automate outreach, onboarding, and customer support. Finally, they screen labour-law compliance and generate contracts in real time across 150 or more countries, as in the Deel case (Deel, 2023). In one case, the founder selected a country by how simple its regulation was, not by how close or familiar it was, and the final decision was made based on the information gathered by AI. This goes against the Uppsala assumption that firms enter markets in order of psychic distance (Johanson and Vahlne, 1977), and shows AI shaping not only how a market is entered but which market is chosen.The competitive landscape and synthesizing technical literature in specialist fields, where the real signal has to be separated from a lot of noise. Third, they generate leads and personalized outreach across several markets at once. Fourth, they identify Ideal Customer Profiles and automate outreach, onboarding, and customer support. Finally, they screen labor-law compliance and generate contracts in real time across 150 or more countries, as in the Deel case (Deel, 2023). This pattern is not limited to startups. Alan's translation and analytics agents (Dust, 2025a; Dust, 2025c), Brex's onboarding system (Morais, 2026), Qonto's compliance and localization agents (ComplyAdvantage, 2024; Dust, 2025b), and Einride's freight system (Einride, 2025) show that the same delegation runs as working infrastructure at scale.

This division of tasks matches what the theory expects that founders give AI the work that needs breadth, speed, and volume, and keep for themselves the work that needs depth, judgment, and accountability (Macleod and Pugalia, 2026; Chinnaraju, 2025). The finding extends INV theory (Oviatt and McDougall, 1994; Weerawardena et al., 2007). It suggests that the sensing capability usually tied to founder experience can be partly carried out by AI, so fast internationalization need not depend on prior market experience. It also adds to the Uppsala model (Johanson

and Vahlne, 2009; Vahlne and Johanson, 2017), indicating that the informational and institutional stages of entry can be sped up algorithmically, though not so far that the model's temporal friction disappears entirely.

6.1.2 Sub-Question 2

Sub-Question 2 asked how founders judge and use AI outputs when making strategic decisions in uncertain foreign markets. The answer is that founders do not share one model for this. Instead, they fall into five distinct governance postures. Which posture a founder takes depends on their resources, the risk level of their sector, the stakes of the deal, and their own background. This confirms Macleod and Pugalia's (2026) point that the augmentation imperative is not a universal rule.

At the most structured posture, founders run multi-level checks. AI produces an output, and a human verifies it against legal databases, local expertise, or a second model. Here, verification is what makes delegation safe (Macleod and Pugalia, 2026; Brendl and Sweldens, 2023). Other founders build the checking into the workflow itself, through "nail it, then scale it" testing, source citation, and cross-tool comparison, so oversight is designed in rather than added on. On the contrary, under tight resources and a low cost per error, some founders skip checking entirely. They judge that a single mistake costs little against the value of acting at volume. This is not careless. It is a reasonable response to bounded rationality under scarcity and time pressure (Macleod and Pugalia, 2026), where the burden of managing uncertainty is more than a founder can carry (Vahlne and Johanson, 2020).

The implication is that the Industry 5.0 augmentation principle is conditional. Human oversight is necessary where a single mistake is costly, but can be relaxed where the cost is low and the volume is high. The cases also point to two governance risks the literature does not fully explore. The first is deferred-governance risk, putting verification off to a "later stage" that may never come under capital pressure. The second is the access–leverage trade-off (Gaikwad, 2025), the privacy and IP exposure that agentic systems require as the price of the leverage they give. Both matter for how investors and policymakers judge the governance maturity of AI-first startups.

6.1.3 Sub-Question 3

Sub-Question 3 asked how using AI affects founders' sense of the need for experiential learning and local networks. The answer separates two stages: pre-relational intelligence and relational embeddedness.

On the pre-relational side, the cases indicate that AI raises what a small team can do before any relationship-building starts. It lets a micro-team sense, localise, and reach several markets at once. This kind of work once needed a larger organisation or local expertise. This eases the informational part of the Uppsala liability of outsidership and supports the idea of AI as a synthetic dynamic capability, in relation to Buckley et al., 2026; Hosseini and Seilani, 2025.

The relational part of outsidership (Johanson and Vahlne, 2009) is harder for an algorithm to take over. Every participant in the study agreed that closing enterprise deals, formalising partnerships, and earning real network embeddedness need person-to-person, step-by-step human interaction as Vahlne and Bhatti, 2019 suggests. How strict this requirement is depends on the sector. It is strongest in life sciences and deep-tech, where in-person trust is built into industry norms and earned at conferences and seminars. It is also strong in B2B enterprise, where regulators and clients expect human accountability. It is weakest in B2B SaaS, where digital-first selling is widely accepted. This is consistent with Ahmad (2025), who found that using AI to bridge cultural gaps depends on how relationship-intensive the context is. The finding extends that work by setting out the mechanism behind the difference.

This supports the updated Uppsala model (Johanson and Vahlne, 2009) because AI compresses the informational work of entering a market, while the relational work stays human. The cases also suggest that as market intelligence becomes commoditised, the value of human relationships rises. This connects to what Bhatti et al. (2020) call relationship learning as a route to sustainable internationalisation.

6.1.4 Overarching Research Question

The overarching question asked how founders in AI-first startups use autonomous AI agents to guide and carry out their internationalization strategy. Based on all the empirical evidence, the answer is as follows.

Across the cases studied, founders used AI agents as a synthetic dynamic capability to ease the informational and institutional stages of market entry. They used AI to automate broad, high-volume work that would otherwise be out of reach for a small team. This is the pattern the study calls Synthetic Experiential Learning.

Founders managed this delegation case by case, calibrated to sector risk, deal stakes, and resources, which makes the augmentation imperative conditional rather than universal. And in every case, founders kept human control over the relational side of internationalization, which according to Johanson and Vahlne, 2009; Vahlne and Bhatti, 2019 is the step-by-step, trust-building work that leads to real embeddedness in a market. AI therefore works as a pre-entry mechanism. It is a structural front-end that removes informational friction across many markets at once, while the relational task of market commitment stays with the human founder.

6.2 The Revised Conceptual Model

The three thematic analyses refine the conceptual framework set out in Chapter 2 (Figure 1). The revised model (Figure 3) keeps the same theoretical foundations (the Uppsala model, INV and Born Global theory, the Industry 5.0 paradigm, and the network approach) and does not replace them (Johanson and Vahlne, 2009; Oviatt and McDougall, 1994; Macleod and Pugalia, 2026). What it adds is precision. It reorganizes these traditions into three working layers (intelligence,

governance, and relational), and, for each layer, states what agentic AI changes and what it leaves untouched.

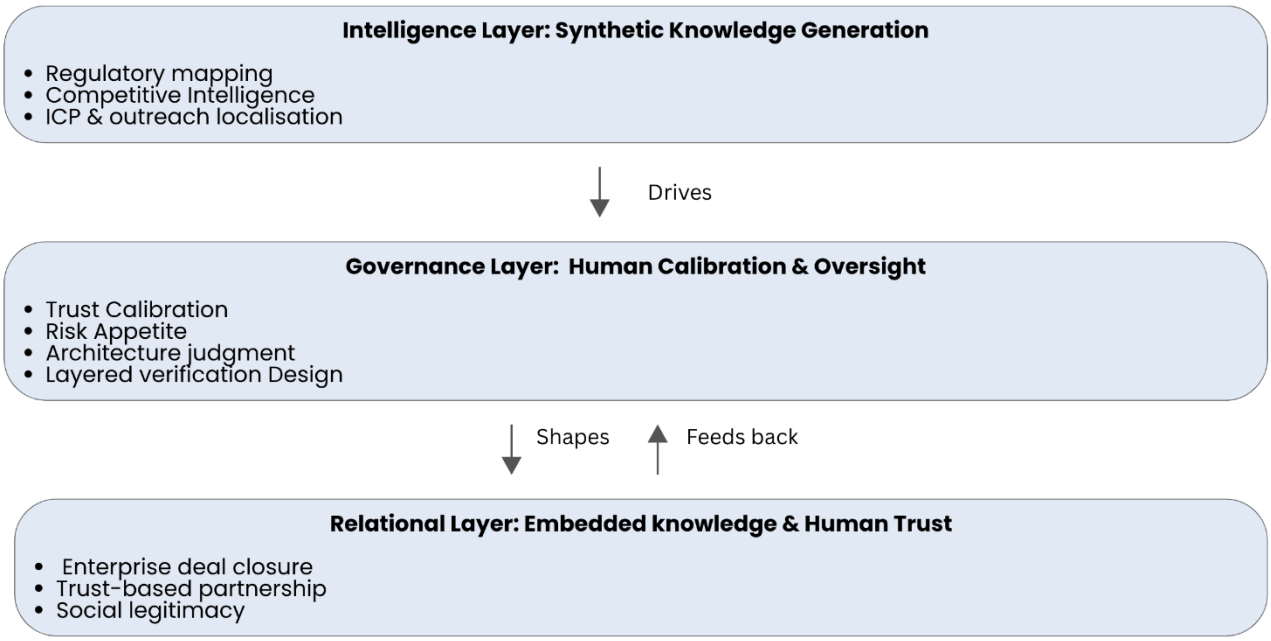


Figure 3: Conceptual model from the analysis

The layers do not run in sequence, but instead they operate together, with the output of one feeding the next, as the arrows in Figure 3 show. The original framework (Figure 1) presented the four theoretical mechanisms as a single linear build from friction to relational boundary, whereas the revised model keeps that logic but shows how the mechanisms now interact in practice once AI is introduced.

6.2.1 The Intelligence Layer

The original framework drew on the Uppsala model, which implies that informational and institutional market knowledge is experiential; it is built slowly, through direct presence in the market, and is hard to codify or transfer (Johanson and Vahlne, 1977; 2009). INV theory added that the sensing needed for fast entry comes from the founding team's own experience (Oviatt and McDougall, 1994; Weerawardena et al., 2007). The empirical findings show that this account must be split into two. The informational and institutional part of market knowledge (regulatory mapping, competitor analysis, localization, lead generation) is now produced quickly, cheaply, and at scale. This is the synthetic dynamic capability

described in Chapter 2 (Chinnaraju, 2025; Buckley et al., 2026; Hosseini and Seilani, 2025), and the pattern it produces is what this study calls Synthetic Experiential Learning.

This layer differs from the original framework in two specific ways. First, it shows that the founder's prior experience and existing networks, which Born Global theory treats as preconditions for fast entry (Madsen and Servais, 1997), can be supplied by AI instead; sensing no longer depends on founding-team experience alone (extending Weerawardena et al., 2007). Second, it shows that AI can change how the entry market is chosen: at least one firm selected its market by regulatory simplicity rather than by closeness or familiarity, which runs against the psychic-distance sequencing the classical model assumes (contradicting Johanson and Vahlne, 1977). Essentially, the layer refines rather than removes the tacit–explicit knowledge distinction at the center of Uppsala theory (De Clercq et al., 2012). The explicit, codifiable part is compressed, while the tacit part is not, and is handled in the relational layer below.

6.2.2 The Governance Layer

The original framework treated the division of labor between human and AI through the augmentation imperative, which implies that AI should process high-volume data while humans make judgments, with human-in-the-loop oversight (Macleod and Pugalia, 2026; Brendl and Sweldens, 2023). Chapter 2 presented this as a general rule. The empirical findings show it is not general but conditional. Founders do not converge on one oversight model; they occupy five distinct governance postures, shaped by the cost of an error in their sector, the stakes of the specific deal, and the resources available (Theme 2). The governance layer is therefore where founders decide how much human checking to apply, and the postures are different stable answers to that question, not stages on a single scale.

This layer differs from the original framework by reformulating the augmentation imperative from a universal rule into a stake-sensitive one (refining Macleod and Pugalia, 2026). Human oversight is mandatory where the cost of a mistake is high, but can reasonably be relaxed where the cost per error is low and volume is high,

consistent with the VUCA decision pressures described by Vahlne and Johanson, 2020. It also names four governance skills (algorithmic trust calibration, risk-appetite governance, architectural judgment, and layered verification design) that are not recognized as internationalization skills in either Uppsala or INV theory (Johanson and Vahlne, 2009; Oviatt and McDougall, 1994). It also adds two governance risks that the existing literature (Gaikwad, 2025) does not stress. First, the risk of deferring governance to a "later stage" that never arrives, and second, the access–leverage trade-off, where the data access an agent needs is the price of the leverage it gives.

6.2.3 The Relational Layer

The original framework drew on the network approach, which holds that the liability of outsidership is overcome through human, person-to-person trust built step by step over time (Johanson and Vahlne, 2009; Vahlne and Bhatti, 2019; Johanson and Johanson, 2021), and that trust and legitimacy are socially constructed and so cannot be created by digital means alone (Vahlne, 2020). The empirical findings confirm this directly. In every case, there is a point where AI stops being enough and human presence becomes necessary to close deals and build legitimacy. The relational layer is where this work happens, and the embedded knowledge that overcomes outsidership is produced here through human interaction (Johanson and Vahlne, 2009).

This layer differs from the original framework by specifying the boundary rather than just asserting it. The original treated the limit of AI delegation as a general operational fact. Meanwhile, the revised layer expresses it as the Relational AI Frontier, a threshold whose position can be predicted from identifiable drivers such as the sector's trust requirements, the complexity of the commercial relationship, how formal the target market is, and the buyer-level regulatory setting, extending Vahlne and Bhatti, 2019; Ahmad, 2025. The position of the frontier varies, but its existence showed in every case studied. The layer also adds one mechanism the network literature does not foreground, as AI makes market intelligence available

to all firms, the human relationship becomes the durable source of advantage, which raises rather than lowers the value of relational embeddedness (Bhatti et al., 2020).

6.2.4 Connection between Layers

The three layers operate together. The intelligence layer feeds the governance layer, which sets how much the founder verifies before acting. The governance layer shapes which relationships are pursued and how. Then, the outcomes of the relational layer feed back into both, informing later intelligence and governance decisions. This is the feedback structure shown in Figure 3. It is not a rejection of the Uppsala establishment chain (Johanson and Vahlne, 2009; Vahlne and Johanson, 2020), but a possible reconfiguration of it as the early informational stages can be compressed because the knowledge they once required is now available algorithmically, while the relational end of the chain remains human and is reached faster and more cheaply, not removed.

6.3 Theoretical Contributions

The AI-Augmented Internationalization Paradigm which this study proposes, makes four contributions, each tied to a specific prior framework. The first is to INV and Born Global theory. The study suggests that the sensing capability that this literature attributes to the founder's prior experience and networks (Oviatt and McDougall, 1994; Weerawardena et al., 2007; Madsen and Servais, 1997) can now be partly supplied by agentic AI. This removes prior experience as a strict precondition for fast internationalization and makes rapid entry possible for resource-constrained teams that do not have it.

The second contribution is to the Uppsala model. The cases indicate that the informational and institutional side of the liability of outsidership can be compressed algorithmically, while the relational side cannot, which refines the model's account of how outsidership is overcome. In addition, AI can change how the entry market is chosen, with one firm selecting its market by regulatory simplicity rather than psychic distance. This runs against the classical model's

assumption that firms enter markets in order of closeness and familiarity (Johanson and Vahlne, 1977).

The third contribution is to the Industry 5.0 and augmentation literature. The study reformulates the augmentation imperative from a universal rule into a conditional one, calibrated to decision stakes, sector risk, and available resources refining Macleod and Pugalia, 2026; Brendl and Sweldens, 2023. Alongside this, the four governance competencies identified in Theme 2 are added as micro-foundations of internationalization capability that are not recognized in either Uppsala or INV theory (Johanson and Vahlne, 2009; Oviatt and McDougall, 1994).

The fourth contribution is to the network approach. The point at which AI delegation must give way to human relational work is specified as the Relational AI Frontier, a context-dependent threshold with identifiable drivers, rather than left as a general operational limit extending Vahlne and Bhatti, 2019; Johanson and Johanson, 2021; Ahmad, 2025.

6.4 Managerial Implications

The findings carry specific, grounded implications for stakeholders engaged with AI-first startup internationalization.

The most salient implication for founders is that a governance posture should be chosen deliberately, based on how the sector's risk profile and the deal's stakes interact, rather than defaulting to one posture for everything. In high-stakes, regulated, and relationship-heavy sectors, founders should invest early in layered verification, even with limited resources, because the cost of an AI error grows with the stakes of the deal, and systematic errors can spread quickly in a concentrated market where buyers share information. In lower-stakes, high-volume B2B SaaS scenarios, founders can take a more flexible approach to governance but take note that a period of less formal structured verification, as described in Theme 2, is a path the empirical data shows to be hard to reverse once the firm enters markets with higher governance standards. The 'nail it, scale it' protocol is a practically

viable intermediate model for startups in transition to establish validation before deployment and then scale with confidence.

The results also validate the strategic importance of investing in relational sectors. By placing importance on building genuine, valuable human relationships, founders, especially in industries where in-person trust is important, are able to gain a competitive edge that cannot be replicated with AI (Bhatti et al., 2020; Ahmad, 2025). The formula for going international therefore changes: less human time on informational preparation (Delegate to AI); more human time on Relationship quality at key moments of conversion and commitment. This shift of founder focus from information to relation is again a new managerial implication that hasn't been expressed as an operational principle in the Uppsala model or by the INV literature.

The results indicate that investors should consider the composition of a startup's team and governance structures in addition to more traditional measures of market size and product-market fit when determining whether to invest in AI-first startups. One founding team, with no verification protocol when it comes to AI outputs in regulated areas, is taking on undisclosed operational risk that won't be known until the firm moves into the regulated markets with higher standards for institutional accountability. On the other hand, a founding team that has built and internalized iterative validation shows the sort of maturity of operation that the four governance skills outlined in Theme 2 refer to, and which is likely to scale more sustainably than alternatives that focus on speed. Investment due diligence processes should include a governance audit what is delegated to AI, at what verification level and what happens with systematic AI mistakes in those operational areas?

The findings have a counterintuitive implication for policymakers and regulators in particular: while the EU's regulatory framework (GDPR, AI Act) acts as a barrier to compliance for startups, it is also a market structuring mechanism that can provide a competitive edge for AI-first companies that want to serve as trustworthy alternatives in European enterprise markets. But when founders think of AI compliance as a strategic differentiator (and in at least one case, that's how the primary data documents were thought of) they get the edge over their non-

compliant competitors in a way they can't replicate. Focusing solely on AI regulation as a risk-management tool neglects its potential as a strategic positioning tool and a competitive barrier in early-stage startup internationalization.

6.5 Societal Implications

Beyond firm-level managerial implications, the study's findings carry several broader societal considerations.

The first one, and the most immediate, is the dimension of displacement in the context of internationalization with AI. The empirical cases show that AI-first startup firms grow their reach without what has historically been the traditional requirements: local market intermediaries, operations teams, and language experts. Deel UK's point that teams of ten can now do what a hundred once did, and the Amass case, where a Head of Design role was replaced by AI workflows, point to a structural change where geographic expansion is decoupled from local employment growth. The Amass case also shows a second, related shift mentioned in Section 5.4 that decision authority is moving inside the firm, away from senior staff and toward AI guidance. Both effects sit outside the internationalization frameworks used here and are a candidate contribution to the organizational-design literature. This has distributional consequences for labor markets in areas where multinationals used to expand by hiring people locally. The employment implications of this decoupling are very big and under research priority, as highlighted by the research agenda of AI and international business by Buckley et al. (2026).

Another aspect of society involves the democratization of internationalization capability. The compressing of informational and institutional barriers to internationalizations via agentic AI is not location nor organization specific. Instead, it applies to any firm who has access to competent AI tools and the ability to deploy them. This points to a democratization of international expansion, which may help early-stage companies in countries that have so far been held back by their founders' limited international experience or their distance from the main

technology centers. The Chilean market is a good example of this change, as can be seen in the Neurawave case, a five-person team entering the market algorithmically for about USD 1,000 in certification costs. The democratization has already started with digital infrastructure, as described by Monaghan et al (2020) in their account of born digitals, and is further catalyzed by agentic AI.

Thirdly, there are issues of the quality of the market knowledge that can be generated by AI and the epistemic risks in its systematic use from a societal perspective. It is worth asking whether there are long-term epistemological consequences with a generation of founders simply synthesizing their way to a foundational understanding of the market through AI. Adopting Synthetic Experiential Learning as the main means of knowledge acquisition in the international market could lead to faster and more widespread expansion and penetration, but shallower and more superficial knowledge, with implications for the quality of strategic choices made in the context of incomplete tacit knowledge. This concern is related to De Clercq et al. (2012), who argued that the depth of market knowledge acquired in direct interactions is a non-substitutable asset to deal with the relational complexity of foreign market embeddedness.

6.6 Research Quality Acknowledgment & Limitations

The validity of the findings rests on methodological triangulation across the two phases of data collection and a transparent audit trail from theoretical preconceptions to the findings, assessed against Guba and Lincoln's (1994) criteria of credibility, transferability, dependability, and confirmability, as explained in Chapter 3. But three caveats must be admitted outright.

One is that the sample is limited in geographic scope and size. The primary cases are all based in or originate from Northern Europe, which limits how far the patterns can be transferred to other regions. The patterns identified are analytically interesting and theoretically sound, but they still need to be tested more widely across other geographies, industry sectors, and maturity stages before they can be considered generalizable. The regulatory landscape in the North is also stringent when it comes to GDPR and AI Act compliance, which could result in a regulatory

context that generates governance postures that might be different in environments with less robust compliance frameworks.

Secondly, as Deel UK is both a secondary case and a primary interview participant, there is a potential validity issue. Responses to corporate interview questions may be high-level and include institutional stance and messaging, especially for a senior-level role that involves communicating to the outside world. This concern was addressed by triangulating the primary interview data with independently recorded company practices (Deel, 2023). Analysis has been conservative in the sense of Eisenhardt (1989), who suggests that in case study research where the data sources differ in reliability, the analysis should reflect the documentary evidence where a divergence from claims in the interviews was found.

Thirdly, the study is cross-sectional. It is these firms' governance postures, Synthetic Experiential Learning pattern, and relational boundaries that are observed at a particular point in their development trajectories. The study sets up the questions of whether governance postures change with increasing sophistication of the companies, if the relational boundary moves with the improvement of the AI systems, and whether Synthetic Experiential Learning produces durable market knowledge or only shallow understanding over time, a question only a long-term study of these firms can answer.

6.7 Directions for Future Research

The study opens four productive directions for future empirical and theoretical inquiry.

The first is a longitudinal study of the specific firms interviewed here, to examine whether governance postures change as expected, whether the relational boundary moves as the AI system's ability to engage socially evolves, and whether this speed-maximalist strategy exacerbates the reputational and governance issues analyzed here. Amass, a firm that explicitly states its intention to go “all-in” on AI-mediated go-to-market in a business that still requires a physical presence in clusters, is an

obvious longitudinal use case to consider, given the question of whether the Relational AI Frontier moves or stays.

The second direction is a cross-cultural comparative study of the AI governance postures. In this research, all the primary cases are located in or emanating from Northern Europe, which have their own forms of regulation, professional cultures, and conventions for conducting business. An empirical, but still unanswered, question is whether it is the same in other cultures, relationship-intensive markets, or regulatory frameworks with less formal infrastructure for compliance with significant theoretical implications, in particular, concerning the transferability of the Governance Calibration Principle as a management tool. The ZeroPoint Technologies case, an example of parallel market entry in China and the USA, can serve as a suggestive starting point for understanding how governance choices are influenced by market-level regulatory and cultural contexts.

Third, to test this concept at scale, a quantitative operationalization of Synthetic Experiential Learning is needed. The qualitative typology presented in this paper sets boundaries and mechanisms to construct, but its predictive validity as a variable in internationalization models remains untested, for example, whether synthetic-learning investment systematically shortens market-entry time. To determine whether it is a replacement for or an addition to previous international studies predicting internationalization outcomes, a survey instrument is needed that can be used with a broader sample of AI startups at scale. For this operationalization, it is worth noting that Bhatti et al. (2022) have created a quantitative framework for measuring the effect of Industry 4.0 on the Uppsala model.

Lastly, Theme 2 finds that the access-leverage trade-off between the ability to operate AI and the internal exposure of data required by agentic systems is under-theorized in the literature on AI governance. As agentic systems gain deeper access to organizations' internal data, the governance of this access must also become a variable for strategic decision-making, impacting the sense of intellectual property and trust within the organizations (Gaikwad, 2025). A more focused examination of founders' attempts to manage this trade-off and how it evolves as the firm grows

from founder-level to institutional governance architecture would fruitfully expand the governance postures to an important theoretical and practical dimension that would benefit the internationalization literature, as well as the emerging field of AI governance as a strategic management domain. A related and underexplored question is how agentic AI redistributes decision authority inside the firm, as seen in the Amass case, which connects internationalization research to the organizational-design literature and merits dedicated study.

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Appendix A

Interview Guide

Founder Background & The "AI-First" Operating Model: Understand the founder's baseline experience and how they structure their company.

1. Could you briefly describe your background, your startup, and your current stage of international expansion?
2. To what extent did your prior international experience play a role in your expansion strategy, and to what extent did you rely on technological capabilities?
3. How would you describe your company's operating model regarding AI? Do you use AI primarily as a passive assistant, or have you integrated autonomous AI agents into your core workflows?

Market Entry Tasks & Agentic Automation: Discover exactly what is delegated to AI and what is kept by humans, without assuming AI does everything (sub question 1)

4. Think about your most recent entry into a new foreign market. Can you walk me through the specific operational and strategic tasks you delegated to AI agents?
5. Which specific tasks during that market entry did you decide must be handled manually by you or your team? Why?

Evaluation & Trust: Understand how founders evaluate AI outputs and build trust when making decisions in unfamiliar markets (sub question 2)

6. How do AI agents help you navigate "informational uncertainty" (e.g., competitor analysis, local demand) and "institutional uncertainty" (e.g., local regulations, compliance)?

7. Have you ever experienced a situation where an AI agent failed to grasp the necessary nuance of a new market?

8. When an AI agent provides a strategic recommendation or generates a go-to-market plan for a new country, what is your exact process for evaluating the accuracy of that output?

Relational Uncertainty & Network Embeddedness: Test the classic Uppsala/Network theories against modern AI capabilities (sub question 3)

9. Some recent literature suggests that while AI agents speed up execution, they force the human founder to take on a much heavier burden of "risk management" and architectural oversight. Does this reflect your reality? How so?

10. Traditional business theory argues that entering a foreign market requires slow, human-to-human relationship building to establish trust and overcome the "liability of outsidership." How does your use of AI impact this need to build local human networks?

11. Do you use AI tools to assist in cross-cultural communication or translation during negotiations? If so, where do you draw the line between algorithmic efficiency and the need for human empathy/nuance?

Closing

12. Ultimately, do you feel that using AI agents has replaced the need for you to gradually accumulate "experiential knowledge" in a foreign market, or has it just changed how you learn?

13. Is there anything else about how AI agents impact your strategic decision-making that we haven't covered today?

Appendix B

Consent Form for Research Participants

Study Title: AI-First Internationalization: An Exploratory Study of Human and AI Agent Collaboration in Startups

Researchers: Greis Cabej & Mourine Janet Atieno, Master's Students at Linnaeus University

Supervisor: Susanne Sandberg Lyckman, Linnaeus University

1. Purpose of the Study

You are being invited to participate in a research study exploring how founders or decision-makers of AI-first startups use autonomous AI agents to support and shape their strategic decision-making during cross-border expansion. The objective is to understand how human-AI collaboration impacts market entry strategies, risk management, and the accumulation of experiential knowledge.

2. What Participation Involves

If you agree to participate, you will be asked to take part in a semi-structured interview lasting approximately 30-40 minutes. The interview will be conducted mainly through online platforms or when possible in person.

With your permission, the interview will be audio recorded solely for the purpose of accurate transcription and data analysis.

3. Voluntary Participation and Right to Withdraw

Your participation in this study is entirely voluntary. You have the right to decline to answer any specific questions during the interview. Furthermore, you may withdraw your consent and discontinue participation at any time without penalty.

4. Confidentiality and Anonymity

The information you provide will be treated with strict confidentiality and only for academic purposes.

- **Anonymity:** Please indicate your preference below regarding whether you and your company may be named in the final thesis or if you prefer to be anonymous (e.g., referred to as "Founder of a European Fintech Startup").
- **Data Storage:** All audio recordings, transcripts, and notes will be stored securely on password-protected drives accessible only to the primary researchers.

5. Risks and Benefits

There are no anticipated risks associated with this study. While there is no direct financial compensation for participating, your insights will contribute significantly to advancing academic knowledge regarding Industry 5.0, human-AI collaboration, and modern international business theory. A summary of the final research findings can be provided to you upon request.

6. Contact Information

If you have any questions or concerns regarding this study, its purpose, or your data rights, please contact:

- **Researchers:** Greis Cabej | gc222gv@student.lnu.se | +46769365671

Mourine Janet Atieno | ma227ua@student.lnu.se

- **Supervisor:** Susanne Sandberg Lyckman | susanne.sandberglyckman@lnu.se

Consent and Signature

Please initial the boxes and sign below to indicate your consent:

- [ ] I confirm that I have read and understood the information provided above regarding the study.
- [ ] I voluntarily agree to participate in this interview.
- [ ] I consent to the interview being audio recorded.
- [ ] **(Select one):** I consent to my name and my company's name being published in the thesis

OR

- [ ] I request that my identity and my company's identity be fully anonymized.

Participant's Name: _____

Participant's Signature: _____ **Date:** _____

Researcher's Signature: _____**Date:** _____

Appendix C

AI-First Internationalization: An Exploratory Study of Human and AI Agent Collaboration in Startups

Analytical progression from raw interview transcripts → initial descriptive codes → theoretical concepts → empirical themes. All quotes are verbatim from primary interview transcripts.

Participants: Raal (n=1), ZeroPoint Technologies (n=1), Neurawave (n=1), Amass (n=1), Sourcicle (n=1), Deel UK (n=1) | Method: Abductive thematic analysis (Dubois and Gadde, 2002; Braun and Clarke, 2006)

Participant color coding:

■ Neurawave ■ ZeroPoint ■ Raal ■ Amass ■ Sourcicle ■ Deel UK

Participant	Raw Empirical Data (Verbatim Quote)	Initial Descriptive Code	Theoretical Concept	Empirical Theme / Sub-Question
THEME 1 — Operationalizing Market Entry via Agentic Workflows | SQ1: Synthetic Experiential Learning				
Neurawave	*"I did use Grok because Grok is more really to discuss such things... thanks to Grok, we identified the two markets, New Zealand and Chile, because they have much, much simpler regulatory framework and laws."*	Algorithmically mediated regulatory comparison substituting for prior market research or consulting.	Synthetic Experiential Learning; Institutional uncertainty reduction (Uppsala); Dynamic sensing capability (INV)	**Theme 1 / SQ1**
Neurawave	*"We paid the American consulting firm for the certification, all in all, about 1000 US dollar... for the CE marking... we're talking about maybe 200,000 US dollar."*	AI-enabled market selection compressing regulatory entry cost by a factor of 200.	Time compression diseconomies bypassed at the institutional phase; Cost asymmetry of AI-mediated vs. human-mediated entry.	**Theme 1 / SQ1**
Neurawave	*"We can communicate in Spanish without knowing Spanish... I don't think we would have taken this step to launch. It's been a real opportunity to launch in Chile."*	Language and cultural localisation enabled without in-house linguistic capability.	Synthetic Experiential Learning; Psychic distance compressed algorithmically (Uppsala liability of foreignness).	**Theme 1 / SQ1**

Participant	Raw Empirical Data (Verbatim Quote)	Initial Descriptive Code	Theoretical Concept	Empirical Theme / Sub-Question
ZeroPoint	*"We had to employ a special agent in order to go through the mathematical explanations... Then we had one of our experts here in the company that did exactly the same thing... One took a few hours, maybe the other took a week."*	Specialist AI agent compressing technical literature synthesis from one week to a few hours.	Synthetic Experiential Learning at the technical intelligence level; Dynamic capability — sensing.	**Theme 1 / SQ1**
ZeroPoint	*"It helped us navigate into this maze... when you look, everything is in Chinese, but when the agent actually brings you all the information in English... you can say, this is the direction I want to follow."*	AI dissolving language-embedded informational barriers in foreign market research.	Informational outsidership reduced algorithmically; Language barrier dissolution as pre-relational intelligence.	**Theme 1 / SQ1**
Raal	*"At the moment, as we have a team of four persons, I rely 100% on technology... everything comes through AI."*	Complete delegation of market-entry sensing and outreach to AI in a micro-team context.	Synthetic Experiential Learning; Managerial capacity bottleneck resolved (Vahlne and Johanson, 2017); AI as synthetic dynamic capability.	**Theme 1 / SQ1**
Raal	*"Now this [product design in Figma], this actually took like months of work to make, make this thing presentable and also usable. It takes basically five minutes."*	AI compressing product development timeline from months to minutes, decoupling throughput from headcount.	Agentic AI as operational multiplier; Decoupling of output from human labor (McKinsey, 2025a).	**Theme 1 / SQ1**
Amass	*"Our idea is to build essentially an entire AI driven go to market / business development organization where there is an agent for every task rather than a human being."*	Ambition to fully automate business development via agentic infrastructure.	Synthetic Experiential Learning as strategic architecture; AI-native go-to-market model.	**Theme 1 / SQ1**
Amass	*"Gone are the days where you had to ask the CEO for permission because I knew better. Now there is someone who is much better and much more knowledgeable than I am. So instead of asking me for permission just go do."*	AI absorbing the executive bottleneck, decoupling market execution from senior management approval.	Managerial capacity bottleneck resolved algorithmically (Vahlne and Johanson, 2017);	**Theme 1 / SQ1**

Participant	Raw Empirical Data (Verbatim Quote)	Initial Descriptive Code	Theoretical Concept	Empirical Theme / Sub-Question
			Augmented organizational autonomy.	
Amass	*"We just had a head of design two months ago and we have decided to replace him because we can now do that with AI."*	AI substituting a specialist human role, reducing headcount while retaining functional output.	Human role displacement by agentic workflow; AI-native organizational design.	**Theme 1 / SQ1**
Sourcicle	*"Understanding competitor landscape is heavily AI. I won't sit there and do that mapping manually. If AI can do it for me."*	Full delegation of competitive intelligence mapping to AI agents.	Synthetic Experiential Learning; Informational uncertainty resolved algorithmically (Uppsala).	**Theme 1 / SQ1**
Sourcicle	*"We can see when we talk to customers in the US and in India or in Asia in general. We can see a wish to have way more AI and way less human touch, which wouldn't be compliant with the EU regulations."*	AI-mediated market intelligence revealing cross-regional regulatory and preference variation.	Institutional uncertainty mapping; EU vs. non-EU AI Act / GDPR differentiation as market positioning.	**Theme 1 / SQ1**
Deel UK	*"We use autonomous AI agents to handle compliance mapping... contract generation, and even operational workflows. It helps us with our local laws to just analyze things like local labor laws in real time as you're drafting a contract."*	Enterprise-grade AI resolving multi-jurisdictional institutional uncertainty in real time.	Synthetic Experiential Learning at scale; Institutional outsidership resolved algorithmically (Uppsala 2009 update).	**Theme 1 / SQ1**
Deel UK	*"We've been able to expand without extremely expanding our teams... you don't need somebody to do that summaries anymore. AI is doing that and yours is to just validate."*	Geographic expansion decoupled from headcount growth through agentic delegation.	Managerial capacity constraint lifted; Algorithmic scaling without proportional human resource investment.	**Theme 1 / SQ1**
THEME 2 — Navigating Algorithmic Trust and the Augmentation Imperative | SQ2: Bounded Rationality & Augmentation				
Sourcicle	*"Everything administrative to AI, everything executive to humans."*	Strict binary governance protocol: AI handles	Augmentation imperative (Macleod and Pugalia, 2026);	**Theme 2 / SQ2**

Participant	Raw Empirical Data (Verbatim Quote)	Initial Descriptive Code	Theoretical Concept	Empirical Theme / Sub-Question
		volume tasks, humans retain all decision authority.	Bounded rationality — structured HITL governance.	
Sourcicle	*"Our tool never actually takes responsibility for anything. We always ask for confirmation... write in an email for you, but then we will show you the email and say, is this what you want?"*	Human-confirmation gate embedded into every executive AI output as non-negotiable workflow requirement.	Human-in-the-loop (HITL) governance; Augmentation imperative; Algorithmic trust architecture.	**Theme 2 / SQ2**
Sourcicle	*"We never ask AI to do something for us. We always ask AI what it needs to do something for us. So it doesn't start with an assumption."*	Epistemological inversion — AI briefed as collaborator requiring context rather than instructed as tool.	Bounded rationality management; Structured AI prompting as verification strategy.	**Theme 2 / SQ2**
Sourcicle	*"I ask Perplexity something and then I put the answer to ChatGPT and say, hey, Perplexity said this, what would you say? So let me get the same answer."*	Cross-tool triangulation used as informal inter-model verification strategy.	Algorithmic trust — multi-source validation; Navigating hallucination risk through redundancy.	**Theme 2 / SQ2**
ZeroPoint	*"We are not going to rely all the decisions on an outcome of an agent. We will do our due diligence."*	Deliberate retention of human due diligence as final authority over all strategic AI recommendations.	Trust-but-verify governance; Augmentation imperative retained; Bounded rationality constraint acknowledged.	**Theme 2 / SQ2**
ZeroPoint	*"If I really want to get the best out of it, I need to connect this to everything. It'll run locally, it'll talk to my emails and it will have to read my messages and everything that I have — all my ideas. So this is really the biggest risk that I have to take."*	Access-leverage trade-off: maximising AI capability requires granting data access that constitutes a strategic vulnerability.	Privacy and IP exposure risk of agentic deployment; Access governance as distinct risk dimension.	**Theme 2 / SQ2**

Participant	Raw Empirical Data (Verbatim Quote)	Initial Descriptive Code	Theoretical Concept	Empirical Theme / Sub-Question
ZeroPoint	*"We use AI for compliance testing, not in the form of an agent. It is more like through an ad hoc... we have specific questions."*	Risk-tiered deployment: high-stakes compliance addressed via ad hoc queries rather than autonomous agents.	Risk-stratified AI governance; Sector-driven HITL calibration.	**Theme 2 / SQ2**
Amass	*"We typically do dry runs, so of the task, and then we run it a few times until we're happy and satisfied with the results. And if we can do that, then we deploy it. So we work from a principle of nail it and then scale it."*	Iterative pre-deployment validation protocol before granting AI autonomous execution.	Nail-it-scale-it governance protocol; Iterative trust-building in agentic systems; Governance postures intermediate position.	**Theme 2 / SQ2**
Amass	*"I would rather do and ask for forgiveness. Then not do, because then nothing happens. So it's better that we do too many things where some fail."*	Startup execution bias: accepting a margin of failure in exchange for operational speed.	Bounded rationality under resource constraint; Acceptable error threshold as governance variable; Speed-tolerance posture.	**Theme 2 / SQ2**
Amass	*"We don't take everything at face value... we read it, we summarize it, and then we make sure to build our own guardrail into the decisions we make."*	Human-imposed guardrails on AI business development recommendations despite high AI integration.	Layered verification; Bounded rationality — human judgment retained as final filter.	**Theme 2 / SQ2**
Neurawave	*"In maybe between 80 and 90%, it have been good. But you cannot expect to get great results in the first time — you need to iterate, to follow up questions, to guide the AI in the right direction."*	Explicit acceptance of 80-90% AI accuracy threshold, compensated by iterative prompting.	Speed-tolerant verification; Bounded rationality — iterative guidance as error correction mechanism.	**Theme 2 / SQ2**
Neurawave	*"As a startup, you need to have speed because you have a certain amount of money that will run out if you don't have any product to sell."*	Capital depletion pressure as primary driver of speed-over-verification governance posture.	Cash-flow urgency as governance variable; Resource constraint forcing speed-maximalist trade-off.	**Theme 2 / SQ2**

Participant	Raw Empirical Data (Verbatim Quote)	Initial Descriptive Code	Theoretical Concept	Empirical Theme / Sub-Question
Raal	*"I actually don't care. Is it true or not? I'm just pushing out and I'm pushing it out in volume."*	Explicit abandonment of output verification in outreach — volume prioritised over individual message accuracy.	Speed Maximalism governance posture; Governance posture extreme; Error-cost calculus under volume strategy.	**Theme 2 / SQ2**
Raal	*"I'm at an early stage. I don't care much about risks... this is like a later stage thing."*	Risk management explicitly deferred to a future stage — deliberate temporal deferral of governance investment.	Governance deferral risk; Bounded rationality under extreme resource constraint; Speed Maximalism.	**Theme 2 / SQ2**
Raal	*"The responsibility is the human side anyway. Like whoever the team is dealing with some kind of topic they are using AI basically everywhere. But that human is still responsible for the output."*	Human accountability for AI outputs affirmed even under full-delegation operating model.	Human-in-the-loop accountability; Augmentation imperative (liability retained by human).	**Theme 2 / SQ2**
Deel UK	*"Risk management is shifted from just basic risk management to I would say technology driven... you're not dealing with the normal risk of human, this is risk of technology. So there is of course a shift from execution to governance and system design."*	Paradigm shift in risk management from human error to technological risk as AI embeds into operational workflows.	Technology risk replacing human risk; Governance and system design as new managerial competency.	**Theme 2 / SQ2**
Deel UK	*"If it's sending a Slack notification, I can send those. It won't kill anyone. It's not executing, it's not paying someone, it's not firing someone."*	Risk-tiered automation framework: low-stakes decisions fully automated; high-stakes decisions human-gated.	Risk Appetite Framework; Conditional augmentation imperative — autonomy calibrated to decision stakes.	**Theme 2 / SQ2**
Deel UK	*"We measure them, we score them. And also this you just do random validation. Like it already gives you a link — where did you get this? And it's already pre-linked. So if I click on*	Formal precision measurement and pre-linked citation verification	Algorithmic trust governance; Metrics-driven verification; 98% precision target as institutional benchmark.	**Theme 2 / SQ2**

Participant	Raw Empirical Data (Verbatim Quote)	Initial Descriptive Code	Theoretical Concept	Empirical Theme / Sub-Question
	that and see — this customer actually complained — go to minute 50."	as enterprise-grade trust architecture.		
THEME 3 — Re-evaluating Experiential Learning & Network Embeddedness | SQ3: Relational Boundary				
Raal	*"If you want to go into a foreign market as fast as possible, then a local presence is still needed. So you need some local sales guys or like some local face thing."*	Human local presence affirmed as prerequisite for genuine market penetration despite 100% AI outreach.	Liability of outsidership persists (Johanson and Vahlne, 2009); Pre-relational / relational boundary; Relational embeddedness irreducible.	**Theme 3 / SQ3**
Raal	*"You can get some kind of ideas what this market might expect, and maybe some cultural differences... in some countries you need to go directly to the C-tier, in some countries you need to talk with the exact persons who are going to deal with the problem."*	AI used to map cultural sales-approach norms before human execution of market entry.	Pre-relational intelligence (cultural mapping); AI preparing human relational execution.	**Theme 3 / SQ3**
ZeroPoint	*"I don't see that AI will replace any of the human beings... it cannot replace the critique that a human being has in order to make certain decisions."*	Human critical judgment affirmed as irreplaceable in deep-tech strategic decision-making.	Relational embeddedness irreducible; Human judgment as structural complement to AI output; Copilot model.	**Theme 3 / SQ3**
ZeroPoint	*"If I had done the manual work on my own, I would definitely have gained some things that I'm going to lose now... when you read a summary, I'm not going to drill down all the details."*	Explicit acknowledgement of tacit knowledge loss from AI-mediated market learning.	Trade-off between speed and tacit depth; Experiential knowledge degraded by AI summarisation; Uppsala — tacit knowledge is non-codifiable.	**Theme 3 / SQ3**
ZeroPoint	*"It helped us navigate into this maze... you cannot tell the local agent to say, okay, now you need to verify — was this really a good direction or was it a hallucination?"*	AI changing the nature of local intermediary relationships — from	Shift in human agent role from gatekeeper to auditor; Informational outsidership	**Theme 3 / SQ3**

Participant	Raw Empirical Data (Verbatim Quote)	Initial Descriptive Code	Theoretical Concept	Empirical Theme / Sub-Question
		primary intelligence source to verification agent.	reduced; Relational dependency restructured.	
Amass	*"Intelligence is now becoming somewhat obsolete. It's becoming a common denominator across all organizations... If anything, it has increased the need for relevancy, and we have to be more relevant than ever."*	AI commoditising market intelligence, shifting competitive advantage from information access to relational relevance.	Relational differentiation elevated as AI erodes informational advantage; Human B2B credibility intensified as competitive variable.	**Theme 3 / SQ3**
Amass	*"So far, not that much [has AI impacted the need for local networks]. However, what I tend to see is a stronger pull in the ecosystem towards meeting in person through conferences and seminars."*	Life sciences sector maintaining and possibly intensifying in-person relational norms despite AI adoption.	Sector-specific relational requirements (life sciences); Physical cluster embeddedness persists; Uppsala relational boundary strongest in conservative industries.	**Theme 3 / SQ3**
Sourcicle	*"We do have human touch points. And the automation would be the follow ups. We do a demo that we do, but then following up on this demo, AI can do."*	Human reserved for initial demo (relational commitment); AI handles follow-up (pre-relational communication).	Pre-relational / relational boundary operationalised — human at the trust-conversion moment; AI at the volume outreach stage.	**Theme 3 / SQ3**
Sourcicle	*"It can't replace a human because it doesn't understand the empathy deep enough... AI can't replace your network."*	Empathy and network irreplaceability affirmed as structural limits of AI in high-touch B2B relationships.	Relational embeddedness irreducible; Network embeddedness as human-only capability (Johanson and Vahlne, 2009).	**Theme 3 / SQ3**
Sourcicle	*"There are so many roles where I've tried to use AI and it didn't work. Because it's not straightforward and it's not*	AI structurally unable to source candidates without digital footprint — requires	Structural limit of AI — non-digitally-visible talent markets; Human experiential	**Theme 3 / SQ3**

Participant	Raw Empirical Data (Verbatim Quote)	Initial Descriptive Code	Theoretical Concept	Empirical Theme / Sub-Question
	something you can learn this way. It's something where you need to experiment yourself."	human network and lateral thinking.	knowledge irreplaceable in non-indexed domains.	
Neurawave	*"I don't think we would have taken this step to launch... I don't think so. Because it had been so much help to both do a market analysis and the language barrier — it's a huge one. If you don't have any team that can Spanish."*	AI as market entry enabler — without AI, the international launch step would not have been taken.	AI as internationalization enabler for resource-constrained firms; Democratisation of market entry; Uppsala temporal friction bypassed.	**Theme 3 / SQ3**
Neurawave	*"You don't need to be a big company... it's easier to identify and it's faster to identify a good opportunity. You just need to use the right models and you need to ask the right questions and iterate."*	AI democratising international opportunity recognition — removing incumbency advantage of large firms.	Democratisation of dynamic capabilities; INV theory updated — experiential advantage eroded by algorithmic access.	**Theme 3 / SQ3**
Deel UK	*"It doesn't really replace experiential knowledge. It raises the baseline from which the teams learn a new market."*	AI elevating the informational starting point for market learning without replacing the learning process itself.	AI as experiential learning accelerator, not substitute; Uppsala knowledge-commitment cycle modified, not bypassed.	**Theme 3 / SQ3**
Deel UK	*"The business is still built on person to person case. We still need humans because of conversations, trust, local partnership."*	Person-to-person institutional trust affirmed as irreducible requirement for enterprise market embeddedness.	Liability of outsidership persists (Johanson and Vahlne, 2009); Relational boundary structural at enterprise level.	**Theme 3 / SQ3**
Deel UK	*"We will not need our whole operations, maybe legal, operational, international operation team or 100 people, maybe just need ten people."*	AI enabling 10:1 headcount compression in international operations teams.	Decoupling of geographic expansion from headcount; Lean global teams enabled by agentic infrastructure.	**Theme 3 / SQ3**

Participant	Raw Empirical Data (Verbatim Quote)	Initial Descriptive Code	Theoretical Concept	Empirical Theme / Sub-Question
CROSS-CUTTING — Emergent Codes & Sector-Specific Variation				
Raal	*"Humans are expensive. That's the only reason [for keeping headcount under 20]. I'm not building here a unicorn type of company. I'm just trying to build a highly profitable one."*	Headcount constraint as strategic design choice, not merely resource limitation.	AI-enabled lean profitability model; Human cost as structural driver of AI delegation decision.	**Cross-cutting — Org Design**
Amass	*"It has changed the way we learn about foreign experience. The need has always been there. Now it's accessible. So I think now it's just a question of how you work with that data."*	AI changing the mode of market knowledge acquisition without eliminating the underlying need for it.	Synthetic Experiential Learning modifies how, not whether, founders acquire market knowledge.	**Cross-cutting — Epistemological**
ZeroPoint	*"We use AI for compliance testing, not in the form of an agent. It is more like through an ad hoc... we have specific questions. We have not automated with agents yet."*	Deliberate decision not to automate high-stakes compliance with agents — ad hoc use retained for legal domain.	Risk-stratified deployment — agents for low-stakes intelligence, ad hoc queries for high-stakes legal.	**Cross-cutting — Governance**
ZeroPoint	*"We see AI more like a copilot assistant. Not someone that is a decision maker — definitely not a decision maker, but a helper."*	Explicit conceptualisation of AI role as assistant, not autonomous agent — in the deep-tech context.	Human-in-the-loop as philosophical stance; Copilot model vs. autonomous agent model — sector-dependent.	**Cross-cutting — Governance**
Deel UK	*"There is a shift from execution to governance and system design. It doesn't replace experiential knowledge — it raises the baseline."*	AI shifting the human role from operational execution to architectural oversight and governance design.	Managerial competency evolution; Governance and system design as new core capability in AI-first internationalisation.	**Cross-cutting — Evolution of Work**
Deel UK	*"I think no one should be left behind... AI will be a way of working... in the next two or three years, it's just the way everyone is working."*	AI adoption framed as inevitable organisational	Technological paradigm shift; AI as baseline operational	**Cross-cutting — Societal / Future**

Participant	Raw Empirical Data (Verbatim Quote)	Initial Descriptive Code	Theoretical Concept	Empirical Theme / Sub-Question
		norm, analogous to mobile adoption in the 2000s.	infrastructure — not competitive differentiator.	

Note on coding procedure:

Following the abductive logic of systematic combining (Dubois and Gadde, 2002), coding proceeded in three iterative passes. First pass: all transcripts were read in full and initial descriptive codes applied directly to verbatim data without theoretical imposition. Second pass: descriptive codes were abstracted to theoretical concepts by triangulating with the constructs established in Chapter 2 (temporal friction, dynamic capabilities, augmentation imperative). Third pass: theoretical concepts were grouped into the three empirical themes addressing the three sub-questions, and cross-cutting emergent codes were identified where data patterns exceeded the a priori framework. Theme 1 addresses Sub-Question 1 (Synthetic Experiential Learning / INV dynamic capability). Theme 2 addresses Sub-Question 2 (governance postures / bounded rationality). Theme 3 addresses Sub-Question 3 (relational boundary / liability of outsidership). Cross-cutting codes capture emergent findings (speed maximalism, access-leverage trade-off, societal implications) that were not anticipated by the initial theoretical framework but were generated by the data.